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LEGAL | MONETARY AND CAPITAL MARKETS | RESEARCH | STATISTICS | STRATEGY, POLICY, AND REVIEW DEPARTMENTS | WITH CONTRIBUTION FROM FISCAL AFFAIRS DEPARTMENT

Foreign Currency Stablecoins: Initial Considerations on Policies to Manage and Enhance Macrofinancial Stability

Prepared by an interdepartmental team including comprising Suman Basu, Marianne Bechara, Eugenio Cerutti (colead), Bidisha Das, Federica Giordano, Padma Hurree Gobin, Alessandro Gullo (colead), Artak Harutyunyan (colead), Martina Hengge, Maria Soledad Martinez Peria (colead), Marcello Miccoli (colead), Tjoervi Olafsson (colead), Marco Reuter, and Jeanne Verrier

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2026

DEPARTMENTAL PAPER

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Executive Summary

Stablecoins have grown rapidly in scale and global reach, with most denominated in US dollars and only issued in a few economies. For most other countries (recipient countries), these are foreign-issued foreign-currency stablecoins—henceforth, FX stablecoins. Although current use is concentrated in crypto-asset trading, FX stablecoins could potentially be used more broadly, especially in cross-border payments. The wider adoption of FX stablecoins could bring significant benefits including greater competition and innovation as well as cheaper, faster, and programmable payments, especially in cross-border contexts where costs remain high. Such cost reductions could be particularly beneficial for countries that rely heavily on cross-border remittances. The benefits also include promoting enhanced savings allocations and broader financial inclusion. However, stablecoins also pose significant macrofinancial risks, which puts a premium on better understanding these risks and developing appropriate policy responses.

This paper focuses on the implications of FX stablecoins for recipient countries and offers initial considerations on policy responses to manage and enhance macrofinancial stability. The analysis builds on previous work by the International Monetary Fund (IMF) on crypto assets, including stablecoins (IMF 2023a; Adrian and others 2025) and is anchored in existing IMF frameworks, notably the Institutional View (IV) on the Liberalization and Management of Capital Flows and the Integrated Policy Framework (IPF).

Stablecoins can have structural effects on countries' external accounts and alter their vulnerability to shocks. On the structural dimension, stablecoins provide a new vehicle to hold FX assets and could thereby weaken the effectiveness of capital flow management measures (CFMs) and lead to a de facto liberalization of the capital account. If they not only substitute for existing FX asset holdings by residents but also increase those holdings, FX stablecoins could increase currency substitution. On the vulnerability dimension, countries are likely to be more exposed to shocks. All these macrofinancial impacts may be amplified for countries with weak macroeconomic frameworks, limited regulatory capacity, legal uncertainty, and data gaps.

Policy responses should aim to balance the benefits from innovation against the associated risks. They could include structural measures and macroeconomic tools to manage balance-of-payments pressures. Strong monetary policy and fiscal frameworks, comprehensive legal and regulatory frameworks, and improved data collection would help preserve monetary sovereignty.

Policy responses to manage shocks should depend on country-specific circumstances. In countries where shocks and financial frictions are such that the IPF calls for additional tools beyond standard macroeconomic policies, and where the circumvention of CFMs becomes widespread, near-term responses could include building larger FX reserves (to increase resilience to shocks) and FX interventions (once shocks materialize). Over the medium term, the policy mix would depend on how FX stablecoins affect each country's exposure to shocks and financial frictions. If stablecoins amplify them, countries may rely more on fiscal and FX buffers as well as FX intervention and central bank liquidity, after shocks materialize. Alternatively, if stablecoins lower transaction costs and reduce financial frictions, countries would require smaller FX buffers and rely more on conventional monetary and fiscal policies.

Effective domestic policies will also require stronger international coordination and cooperation. Coordination is required to align legal and regulatory frameworks with international standards and guidance, and cooperation is needed for data collection and sharing. By fostering the necessary coordination and providing policy and technical advice through surveillance and capacity development, the IMF can help members harness the benefits of FX stablecoins, manage their risks, and enhance macrofinancial stability.

Acronyms and Abbreviations

The following acronyms and abbreviations are used in this paper.

AML/CFT	Anti–money laundering/combating the financing of terrorism
EMDEs	Emerging markets and developing economies
EU	European Union
FATF	Financial Action Task Force
FDI	Foreign direct investment
FSB	Financial Stability Board
FX	Foreign exchange
FXI	Foreign exchange intervention
GDP	Gross domestic product
GFSR	Global Financial Stability Report
G20	Group of Twenty
IMF	International Monetary Fund
IPF	Integrated Policy Framework
IV	Institutional View (on the Liberalization and Management of Capital Flows)
LIDC	Low-income developing country
ML	Money laundering
MPMs	Macroprudential policy measures
OECD	Organisation for Economic Co-operation and Development
PF	Proliferation financing
P2P	Peer to peer
SWIFT	Society for Worldwide Interbank Financial Telecommunication
TF	Terrorism financing
U.S.	United States
USDC	USD Coin (Circle)
USDT	Tether
VASP	Virtual asset service provider

1. Introduction

Stablecoins experienced significant growth since the start of the decade.[1] Market capitalization increased by nearly 50-fold over the past six years, rising from roughly US$6 billion at the start of 2020 to US$317 billion as of June 2026.[2]

From the perspective of nearly every country in the world, **most stablecoins in circulation today are issued outside their jurisdictions and are pegged to a foreign currency (henceforth, FX stablecoins).** FX stablecoins account for 99 percent of existing stablecoins. USDT (issued by Tether, domiciled in El Salvador) and USDC (issued by Circle, domiciled in the United States) together account for roughly 90 percent of the stablecoin market.

This paper examines the potential macrofinancial implications from a wider cross-border adoption of FX stablecoins and offers initial considerations on policy responses. The analysis complements the International Monetary Fund's (IMF's) earlier, broader treatment of stablecoins (Adrian and others 2025) by focusing on the macrofinancial implications of FX stablecoins for recipient countries arising from their cross-border nature. Recipient countries are those that acquire FX stablecoins, with associated inflows of FX stablecoins and possible capital outflows. The policy discussion is anchored on the IMF's policy frameworks, including the Institutional View (on the Liberalization and Management of Capital Flows) (IV) and the Integrated Policy Framework (IPF).[3]

The paper's contributions are organized as follows. Section 2 documents the size and geographic composition of cross-border FX stablecoin flows and holdings. Section 3 categorizes the sources of demand for FX stablecoins, distinguishing between their near-term and medium-term uses. Building on that categorization, Section 4 examines the key macrofinancial implications that arise as adoption of FX stablecoins grows. Section 5 provides an initial analysis of policy responses along two complementary dimensions: structural policies (sound monetary and fiscal frameworks, legal and regulatory reforms, and improved data collection) and macroeconomic tools to manage balance-of-payments pressures, as implied by the IPF under one near-term and two extreme medium-term scenarios. The macroeconomic management tools include monetary and fiscal policies, as well as FX interventions (FXIs), macroprudential policy measures (MPMs), and capital flow management measures (CFMs). Finally, Section 6 reflects on the role of the IMF in helping members assess and address the macrofinancial implications of FX stablecoins—through bilateral and multilateral surveillance, capacity development, support for international coordination on regulation (including internationally consistent regulatory and statistical frameworks), and monitoring of the implications of stablecoin flows for the international monetary system.

[1] Stablecoins are crypto assets that aim to maintain a stable value relative to a specified asset, or a pool or basket of assets (Financial Stability Board (FSB) 2020; IMF 2023a; Adrian and others 2025)

[2] Market capitalization figures are sourced from CoinMarketCap.

[3] The Institutional View (on the Liberalization and Management of Capital Flows) provides a macroeconomic framework for consistent policy advice to member countries on liberalizing and managing capital flows, with the goal of helping countries harness the benefits of capital flows while managing the risks in a way that preserves macroeconomic and financial stability and does not generate significant negative outward spillovers (IMF 2012, 2022). The Integrated Policy Framework (IPF) provides a framework for analyzing the appropriate use of monetary and fiscal policies, exchange rate flexibility, foreign exchange intervention, macroprudential policy measures, and capital flow management measures to achieve macroeconomic and financial stability objectives in the face of shocks that affect the external position (IMF 2020).

2. Cross-Border Flows in FX Stablecoins

Stablecoin activity has grown in recent years, and 90 percent of it is estimated to be cross-border in 2025.[4] Tether (USDT) and USD Coin (USDC) recorded a sharp increase in gross cross-border flows in the past two years, reaching US$6.3 trillion in 2025 (Figure 1, panel 1). In dollar terms, cross-border gross flows are the largest in Europe, Asia and the Pacific, and the Americas (excluding the United States) and the Caribbean, whereas they are significantly smaller in the Middle East and Central Asia and in Africa. When measured relative to GDP, however, a different pattern emerges. The Americas (excluding the United States) and the Caribbean record the highest flows, followed by Africa and the Middle East and Central Asia (Figure 1, panel 2). USDT flows exceed those in USDC in every region (Reuter 2026).[5] Box 1 summarizes the data challenges in measuring stablecoin cross-border flows.

Stablecoin cross-border flows remain small relative to the global cross-border payments market. That market is estimated at around US$1 quadrillion (Cerutti, Firat, and Hengge 2025).[6] A comparison of Society for Worldwide Interbank Financial Telecommunication (SWIFT) customer-initiated gross cross-border payments and stablecoin gross cross-border payments reveals stark differences in the distribution of transaction activity across income groups.[7] As documented in Cerutti, Firat, and Hengge (2025), flows between advanced economies (AEs) account for the largest share of SWIFT customer transactions by value. Flows between emerging markets and developing economies (EMDEs) account for the smallest share. In contrast, stablecoin cross-border flows are much more dominant in EMDEs. Flows between EMDEs account for 34 percent of stablecoin cross-border flows. Flows between EMDEs and AEs represent 52 percent, whereas flows between AEs account for only 14 percent of stablecoin cross-border flows (Figure 1, panel 3).

Over time, gross flows have been accumulating into rising country-level stablecoin holdings. Emerging markets stand out for their large holdings (proxied by cumulative net inflows), followed by AEs. Developing economies account for only a small share of total stablecoin holdings (Figure 1, panel 4).[8] The steady increase in holdings among EMs points to persistent adoption dynamics, likely reflecting the drivers of demand as discussed in the following section. Mirroring the pattern of gross flows, Europe and Asia and the Pacific account for the largest shares of stablecoin holdings, followed by the Americas and the Caribbean, the Middle East and Central Asia, and Africa (Figure 1, panel 5). Relative to the size of the economy, the countries with the largest stablecoin holdings are Venezuela, Ukraine, and the Kyrgyz Republic (Figure 1, panel 6).

[4] Stablecoin flows captured in these statistics are on-chain transfers of stablecoins that involve wallets belonging to crypto exchanges and unhosted wallets (crypto exchange to crypto exchange, crypto exchange to unhosted wallet and vice-versa, and unhosted wallet to unhosted wallet), excluding flows related to decentralized finance (DeFi). Stablecoin flows that are classified to be cross-border flows are between wallets that are estimated to be in different countries, without providing certainty if they are flows between residents and non-residents. The full details are described in Reuter (2026).

[5] For a detailed description of the methodology developed to estimate stablecoin cross-border flows, please see Reuter (2026).

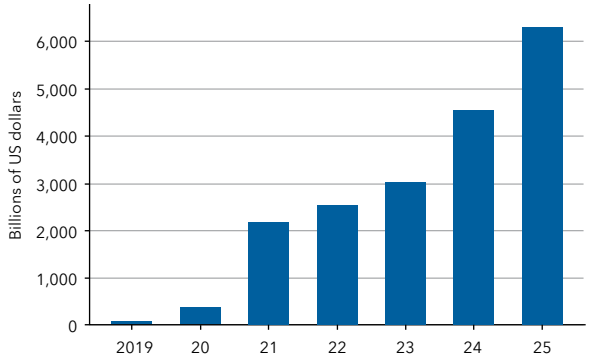
[6] The estimated value of the global cross-border payments market includes both traditional cross-border payments from messaging systems such as Society for Worldwide Interbank Financial Telecommunication and digital cross-border transactions.

[7] Customer-initiated payments correspond to message type 103 and ISO20022 equivalents.

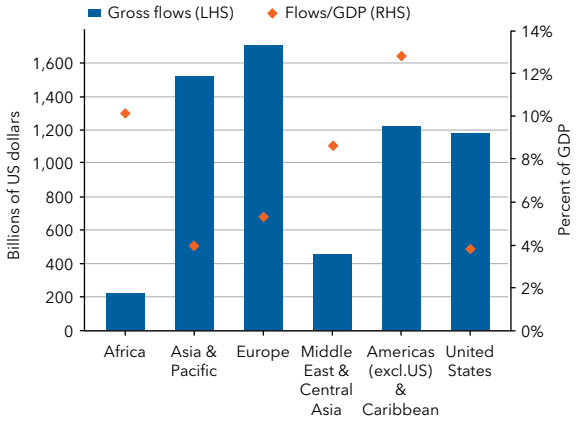
[8] The Euro-denominated stablecoin market capitalization amounted to around US$680 million as of June 2026 compared with US$317 billion for the total stablecoin market capitalization (CoinMarketCap).

Figure 1. Stablecoin Gross Cross-Border Flows and Holdings

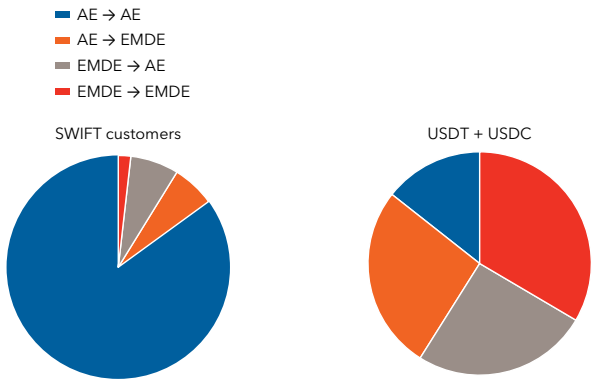
1. Stablecoin Gross Cross-Border Flows



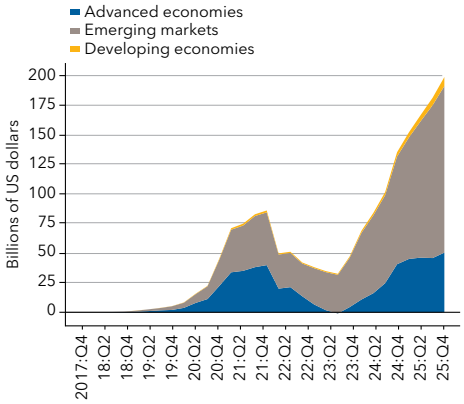
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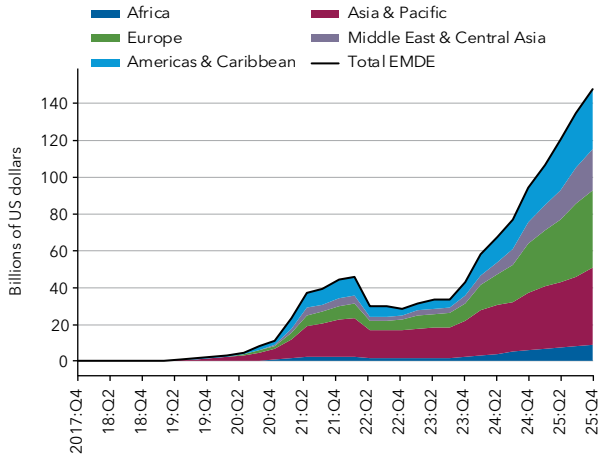
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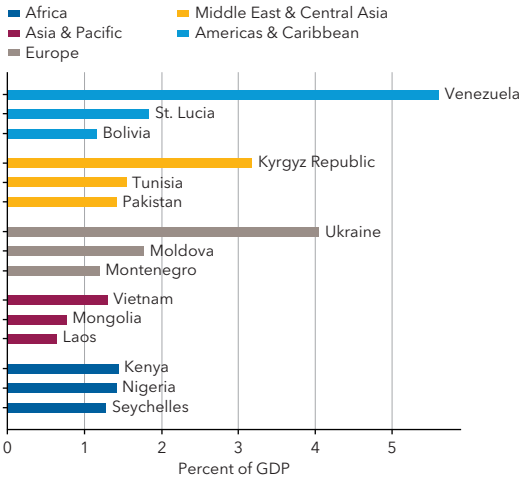
4. Stablecoin Holdings by Country Income Group



5. EMDE Stablecoin Holdings by Region



6. Top Stablecoin Holdings by Region in 2025



Sources: Cerutti, Firat, and Hengge (2025); Reuter (2026); and IMF staff calculations.

Note: Stablecoin data from Reuter (2026) covers 188 countries between December 2017 and December 2025. Panels 1–3: Stablecoin issuance/redemption by Tether and Circle is included and has been assigned to the United States. Tether has been assigned to the United States, rather than El Salvador, given its issuance of a US dollar–backed stablecoin. Panel 2: Flows are grouped by recipient countries/regions. Panel 4: Holdings are proxied by cumulative net inflows. Panel 6: 2025 holdings are proxied by cumulative net inflows from December 2017 to December 2025. AE = advanced economy; EMDE = emerging market and developing economy; SWIFT = Society for Worldwide Interbank Financial Telecommunication; USDT = Tether; USDC = USD Coin.

Box 1. The Measurement of Stablecoin Flows

Measuring cross-border stablecoin flows poses significant challenges for macroeconomic surveillance. The underlying ecosystem is fragmented, spanning more than 30 blockchains alongside off-chain transactions through centralized exchanges, custodians, or payment platforms, so no single data set covers activity comprehensively. The pseudonymous nature of blockchain transactions also prevents the identification of transacting agents' residency, and transaction records carry no information on the underlying economic nature of transfers. Because existing statistical frameworks rely on clearly identified counterparties and residency, stablecoin flows are therefore not systematically captured in official macroeconomic statistics or mapped into conventional balance of payments or international investment position frameworks.

To address these limitations, commercial data providers and policymakers have developed a range of estimation approaches. Methods for on-chain stablecoin transactions typically allocate flows to countries based on the exchange jurisdiction, web traffic, wallet characteristics and networks, IP tracking, or a combination of these approaches. Although these approaches proxy the geographic distribution of flows, they remain indirect and rely on assumptions about user location and transaction structure.[9]

Each methodology entails trade-offs between country-level accuracy, granularity, and the breadth of coverage. Some approaches provide more precise country attribution but cover only a subset of activity, whereas others offer broader coverage at the cost of lower geographic precision or granularity of transaction characteristics. No single method is fully accurate or comprehensive, and the most appropriate data source ultimately depends on the specific policy question being addressed. Alongside these market-based estimation approaches, efforts are underway to anchor stablecoin measurement within official statistical frameworks, covering both monetary and cross-border statistics (see Box 5).

[9] Approaches for cross-border off-chain stablecoin transactions have not yet been developed. See Cerutti, Chen, and Hengge (2025) for a discussion of measuring on-chain and off-chain Bitcoin cross-border transactions.

3. Sources of Demand for FX Stablecoins

This section categorizes and discusses the main potential sources of demand for FX stablecoins and factors that could broaden their use. Regardless of their use, stablecoins can be acquired through three main channels: crypto exchanges abroad, local crypto exchanges, and peer to peer (P2P) transactions, including business-to-business and person-to-business transactions (see Box 2).

Currently, demand for FX stablecoins stems primarily from three broad use categories, and this paper assumes that in the near term, there will be greater adoption for these uses. These three uses are as follows and shown in the top half of Table 1.

- *Digital asset market activity.* This use is currently the dominant use of FX: stablecoins are mainly used to settle crypto-asset transactions and to hold liquidity between crypto investments. They act as a bridge between fiat money and crypto assets and support arbitrage, portfolio rebalancing, and yield-generating strategies within the crypto ecosystem.[10] Empirical analysis of cross-border FX stablecoin flows shows that these flows remain closely tied to unbacked crypto-asset activity, consistent with stablecoins' role in crypto trading and liquidity provision (Koosakul and Usher 2026). If tokenized financial markets expand and become more integrated with regulated finance, stablecoins could increasingly be used to settle tokenized securities.
- *Access to FX assets.* Demand for FX stablecoins as a way to access foreign-denominated assets may reflect weaknesses in local monetary and exchange frameworks, as well as their convenience relative to physical hard currency: Because most stablecoins are pegged to the US dollar, demand is closely linked to broader demand for dollars. Empirical evidence shows that inflows into FX stablecoins are larger for economies with high inflation and exchange rate volatility, weak institutional and political stability, and limited access to foreign currency accounts or short-term dollar instruments, such as money market funds (Koosakul and Usher 2026).
- *Payments and transfers.* The use of FX stablecoins for payments and transfers remains limited but is growing rapidly in some jurisdictions, especially for cross-border transactions. Emerging evidence points to greater use in remittances and business-to-business transfers (Abadi 2026). Empirical analysis shows that cross-border FX stablecoin flows tend to co-move with remittance and trade flows, suggesting an emerging role in real sector cross-border transactions (IMF GFSR 2026; Koosakul and Usher 2026). Still, stablecoins used for payments account for less than 1 percent of total stablecoins outstanding (Noll 2026). Depending on the blockchain used, FX stablecoins could support near-instant, 24/7 cross-border transfers and may reduce some frictions associated with correspondent banking, particularly for remittances and smaller-value payments. However, the overall efficiency gains would depend not only on the blockchain used but also on on- and off-ramp costs, regulatory compliance, and integration with wallets, merchants, and existing payment rails (see Annex 1). Domestic payment use is less advanced but could grow if stablecoins become well integrated with domestic payment systems, gain wider merchant acceptance, and are supported by legal frameworks that give confidence in redemption, safeguarding, and operational resilience. Potential use cases include programmable payments such as conditional transfers, machine-to-machine payments, and micropayments.[11]

[10] A large share of stablecoin activity is linked to automated arbitrage and market-making functions. Yield-generating strategies, commonly referred to as "yield farming," involve depositing tokens into decentralized exchanges and liquidity protocols to earn rewards from interest, transaction fees, and governance tokens of the protocol.

[11] Machine-to-machine payments are automated transfers between devices or software. Micropayments are very small-value transactions, often used for digital goods or pay-per-use services.

Global financial conditions also help drive FX stablecoin inflows. These inflows tend to fall when global funding costs rise, reflecting tighter dollar liquidity and higher opportunity costs. They also tend to increase when global risk aversion and Bitcoin price volatility are higher. This suggests that, within the crypto ecosystem, stablecoins can display some safe haven features similar to those of the US dollar (Campello and others 2025; IMF GFSR 2026; Koosakul and Usher 2026). Evidence also suggests that stablecoin flows are often larger in countries with CFMs in place (Auer, Lewrick, and Paulick 2025) and rise after CFMs are imposed (Reuter 2026), suggesting that stablecoins may help users circumvent such controls.

The medium-term outlook for stablecoin demand remains highly uncertain: existing uses could become more widespread and two new uses may emerge. For the existing uses of FX stablecoins, their adoption may become more widespread. In addition, the following uses may emerge (they are shown in the bottom half of Table 1, and detailed in Box 5.2 in Annex 5):

- *FX borrowing.* FX stablecoins could offer firms and financial institutions another way to access FX funding from both residents and non-residents, with stablecoin loans being channeled through existing lenders as well as new intermediaries. Financial institutions could also offer FX stablecoin loans directly to firms.
- *FX market arbitrage.* To facilitate arbitrage between local currency and FX bonds to exploit uncovered and covered interest parity premia, financial institutions could use stablecoins in FX spot and hedging markets to improve settlement and funding, complementing traditional cash management, repo, and settlement operations.

Box 2. Transaction Flows for Acquiring FX Stablecoins

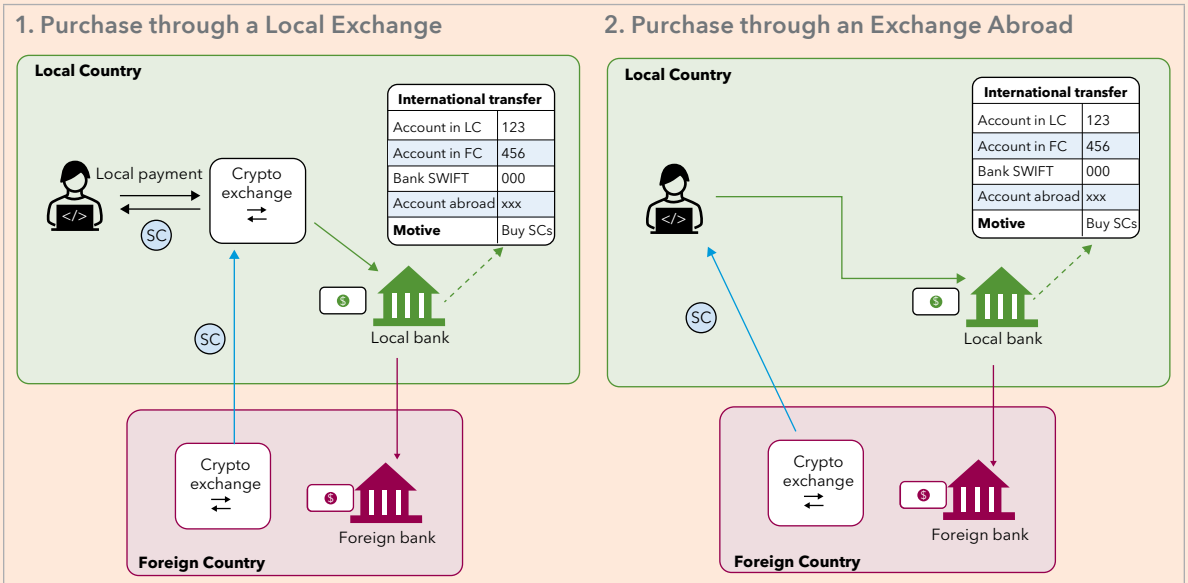
Residents in a recipient country can obtain stablecoins through three main channels: local crypto exchanges, crypto exchanges located abroad, and peer to peer (P2P) transactions.

For purchases through a local crypto exchange, the resident initiates a domestic transfer in local currency to the exchange. The exchange then delivers stablecoins to the resident's wallet. In the background, if the local exchange does not have sufficient stablecoin holdings or if no counterparty is selling stablecoins domestically, the exchange acquires stablecoins from a nonresident counterparty (Box Figure 2.1, panel 1).

When purchasing stablecoins through a crypto exchange abroad, a resident initiates an international transfer from a domestic bank account to the FX. The domestic bank executes the transfer, converting local currency into FX, if necessary. Once the exchange receives the funds, the resident acquires stablecoins, which are credited to a hosted or unhosted wallet, depending on the exchange's structure (Box Figure 2.1, panel 2).

P2P transactions can take place either between two residents or between a resident and a nonresident. These also include business-to-business or person-to-business transactions. For transactions between residents, payment typically occurs through domestic transfers, whereas transactions involving nonresidents may require cross-border payments. In both cases, the buyer receives the stablecoins in a hosted or unhosted wallet.

Box Figure 2.1. Purchasing Stablecoins



Note: FC = foreign country; LC = local country; SC = stablecoins; SWIFT = Society for Worldwide Interbank Financial Telecommunication.
Source: Cabedo et al. (forthcoming).

Table 1. Sources of Demand for FX-Denominated Stablecoins

Source of Demand	Stablecoin Characteristics	Drivers	Near-Term Use Cases	Medium-Term Use Cases
Digital asset markets	Stability, programmability, 24/7 transferability	Law/regulation, growth of crypto and tokenized sectors	Settlement for crypto assets (core use) Liquidity management, yield farming	Settlement for tokenized assets Liquidity management, yield farming Collateral workflows
FX store of value	Stability, denomination in reserve currencies (USD)	Law/regulation, macroeconomic conditions (push factors), attractiveness of the USD (pull factors)	FX savings (emerging)	FX savings
Payments and transfers	Stability, efficiency gains, 24/7 transferability, redeemability, safety, programmability, privacy	Law/regulation, payment frictions, efficiency gains, network effects, integration with payment systems	Remittances and other transfers (emerging) Cross-border payments (emerging)	Remittances and other transfers Cross-border payments Domestic payments Machine-to-machine payments, micropayments

Source of Demand	Stablecoin Characteristics	Drivers	Near-Term Use Cases	Medium-Term Use Cases
FX borrowing	Stability, denomination in reserve currencies (USD), efficiency, programmability	Law/regulation, macroeconomic conditions, efficiency gains, integration with financial system		Funding for banks and nonbanks
FX market arbitrage	Stability, denomination in reserve currencies, efficiency, programmability	Law/regulation, macroeconomic conditions, efficiency gains, integration with financial system		FX arbitrage and hedging by financial institutions

Note: FX = foreign exchange; USD = US dollar.
Source: IMF staff.

Three broad factors will likely shape whether stablecoins reach systemic scale and which uses dominate.[12] First, legal and regulatory frameworks will affect confidence and adoption. Strong redemption rights, high-quality reserve assets, operational resilience, clear insolvency treatment, and effective anti–money laundering/combating the financing of terrorism (AML/CFT) controls can support trust, whereas direct or indirect remuneration could make stablecoins more attractive than other forms of digital money and assets. Second, macroeconomic and structural conditions will shape demand. High inflation, exchange rate instability, financial repression, shallow domestic financial markets, and the international role of currencies to which stablecoins are pegged (especially the US dollar) can all strengthen incentives to hold FX stablecoins. Third, adoption will depend on innovation in financial and payment systems, including technological advances, the presence of domestic virtual asset service providers (VASPs), the response of traditional financial institutions, and the extent to which stablecoins become integrated with existing payment systems.[13]

[12] CPMI-IOSCO (2022) identifies four considerations for determining the systemic importance of a stablecoin arrangement: (1) the size of the stablecoin arrangement, (2) the nature and risk profile of the activity, (3) the interconnectedness and interdependencies with the real economy and the financial system, and (4) the substitutability as a means of payment or settlement for time-critical services.

[13] With respect to the future use of stablecoins in payments, developments related to central bank digital currencies, tokenized central bank money, and other tokenized settlement assets for cross-border payments (including tokenized deposits) could affect the uptake of stablecoins for payments to the extent that they reduce the costs and inefficiencies in existing payment systems in a similar way to what could be achieved by using stablecoins. Differences in risk profiles among the alternative options will also affect relative demand.

4. Macrofinancial Implications from Large-Scale FX Stablecoin Adoption

This paper focuses on the macrofinancial implications of large-scale FX stablecoin adoption. Adrian and others (2025) discuss the broader benefits and risks of stablecoins, regardless of whether they are denominated in domestic or foreign currency. By contrast, this paper narrows the focus to those benefits and risks arising specifically from FX stablecoins. Risks that apply to both local currency and FX stablecoins, such as risks to stablecoin value arising from reserve composition or operational failures, are discussed here only insofar as they could affect cross-border flows. Similarly, potential benefits for domestic payments, such as lower costs, greater competition, or easier infrastructure provision, could also arise from local currency stablecoins and are not covered in detail in this paper.

FX stablecoins currently have limited macrofinancial implications, but these could grow with wider adoption, and their significance will depend on country conditions and how they are used. FX stablecoins may generate two categories of macrofinancial impacts: structural and shock-related. For each of these categories, this section examines the implications that are more likely in the near term before moving to the potential implications for the medium term, building on the taxonomy of growing near-term uses and more speculative medium-term potential uses of stablecoins described in the previous section.

- *Structural implications.* FX stablecoins could cause changes to the long-term steady-state of the economy. FX stablecoins are already being used to facilitate cross-border payments, and their expanded use for this purpose could lead to a beneficial increase in current and capital account openness. If the use of FX stablecoins to access FX assets continues to grow, they could lead to greater structural de facto capital account liberalization and currency substitution. While greater liberalization may be desirable for some countries, it may not be appropriate for others, in general depending on their pre-existing degree of openness, legal and regulatory frameworks, and policy settings. An excessive "big bang" liberalization may overwhelm the country's capacity to absorb the resulting large level of sustained outflows and make the warranted adjustments in monetary and fiscal policies. Furthermore, if adoption becomes large and sustained, and regulation is weak, FX stablecoins could raise some structural risks, including tax evasion, informality, legal risks, and illicit transactions.
- *Vulnerability to shocks.* FX stablecoins could affect the frequency and severity of shocks and capital flow volatility. In the near term, both the adoption of FX stablecoins and the associated macrofinancial risks are likely to be greater in countries with weak monetary policy credibility, larger exchange rate volatility, limited financial depth, higher existing dollarization, and CFMs or FX restrictions more broadly. In the medium term, if FX stablecoins are used in a way that expands FX mismatches, the vulnerability to shocks could increase further. On the other hand, if they are used to build FX savings that offset FX liabilities and potentially to engage in FX market arbitrage, they could reduce FX mismatches, deepen FX markets, and reduce countries' vulnerability to shocks.

A. Structural Implications

Current and Capital Account Openness

The use of FX stablecoins for cross-border payments could beneficially increase current and capital account openness. This use is growing rapidly, and its growth will likely continue in the near term. It could increase competition, foster innovation (by both incumbent market participants and new entrants), and improve payment speed, especially where existing cross-border payments services are costly or

slow. More efficient cross-border payments can support current account openness by enhancing international trade, especially for those smaller firms that currently face high costs of payment transactions needed to facilitate imports and exports. Lower remittance costs could also increase remittance flows and smooth capital account shocks. Finally, FX stablecoins can give savers more opportunities for international portfolio diversification.

When FX stablecoin use is driven by a demand to hold FX assets, stablecoins may facilitate the circumvention of CFMs, leading to a de facto capital account liberalization. This use of FX stablecoins is already present and could expand further in the near term. FX stablecoins give residents a new way to hold FX assets and may weaken the effectiveness of long-standing restrictions on capital account openness.[14] Their ease of use as a means of exchange could also increase local FX transactions. If stablecoins expand residents' overall use of FX external assets—rather than simply changing the form in which existing FX external portfolios are held—there could be a risk of a "big bang" capital account liberalization, marked by large and sustained outflows.

CFM circumvention is not new, but stablecoins could make it more widespread. Residents have long used offshore accounts, informal channels, and trade mis-invoicing to bypass CFMs. Stablecoins may provide easier access to FX assets by lowering costs, increasing speed, and providing new rails outside domestic banks and licensed payment providers. In countries with open capital markets, FX stablecoins might represent a new, technology-driven form of FX flows within an already liberalized regime, with potential implications for capital flow volatility. The risks are likely to be greater in less open economies that rely on CFMs to contain destabilizing capital flows and prevent overheating, especially when regulation is inadequate.

Unregulated local crypto exchanges could become an important channel for circumventing existing outflow CFMs. CFMs usually operate through banks, FX dealers, or other regulated financial intermediaries that verify the identity, residency, and purpose of transactions.[15] Where local crypto exchanges are not regulated, they can provide a platform through which residents who have obtained stablecoins through traditional circumvention channels (for example, trade mis-invoicing) can sell them to other residents seeking exposure to offshore assets. Buyers can then use those stablecoins to acquire foreign assets or transfer them to FXs, crediting hosted or unhosted wallets. A "hosted" wallet is administered by an intermediary as a service to the end user. An "unhosted" (also described as "self-hosted" or "self-custodial") wallet is directly controlled by the end user, without the involvement of an intermediary to host or administer the wallet.

Unhosted wallets pose particular challenges for CFMs because users can self-custody and transact peer to peer outside regulated intermediaries, except when an international transfer from an FX intermediary is needed. Applying the same controls as those that exist on FX intermediaries is central to CFM enforceability (see subsection "Legal and Regulatory Frameworks"). Hosted wallets provide a clear

[14] Given that most of the foreign-currency-denominated stablecoins are currently foreign issued for almost all countries, a net increase in currency substitution is necessarily associated with an outflow on the capital account. If in the future foreign-currency-denominated stablecoins are issued domestically, there could be a net increase in currency substitution without a capital outflow, because the net increase in foreign-currency-denominated stablecoins could be held and issued by residents within the country. In the case of onshore foreign currency (FX) deposits, another form of currency substitution, there would be a capital outflow only if deposits are used to fund a foreign asset purchased from nonresidents (for example, if the bank acquires foreign securities from nonresidents to back the deposits or if there is an exchange required from local to foreign currency to create the FX deposits, which necessitates the bank or central bank borrowing FX from abroad).

[15] Capital flow management measures are tools designed to limit capital flow risks by limiting or regulating certain cross-border transactions. For outflow capital flow management measures to be effective in practice, they need to be internally consistent and sufficiently comprehensive to cover the main channels of capital flight and circumvention, preferably from the outset. Robust monitoring and enforcement are essential.

control point: a regulated VASP[16] holds users' private keys and is typically subject to customer due diligence (Know Your Customer), transaction monitoring, and reporting requirements. By contrast, users of unhosted (also described as self-hosted or self-custodial) wallets (for example, MetaMask or Argent) control their own private keys and can transact directly with other users or decentralized protocols, outside the perimeter of VASP-based controls. This could make CFMs harder to enforce unless stablecoin purchases or redemptions still require an FX intermediary where existing controls can be applied.[17]

Whether an increase in capital account openness is desirable or not depends on country-specific circumstances, including legal and regulatory frameworks as well as policy settings. As described in the IV (2012, 2022), there is no presumption that full liberalization of the capital account is an appropriate goal for all countries at all times. A liberalization could be desirable if the existing CFMs are excessively tight and the country is able to address the risks from a more open capital account . The liberalization could be destabilizing if there is a "big bang" capital account liberalization due to CFM circumvention which overwhelms the country's capacity to absorb the resulting large outflows.

Currency Substitution

FX stablecoins could also increase currency substitution (dollarization). Currency substitution occurs when residents use a foreign currency instead of the domestic currency as a store of value, means of payment, or unit of account. Because FX stablecoins are digital and borderless, they could make currency substitution faster and more widespread than traditional forms of dollarization based on physical cash or FX deposits. Compared with FX banknotes and deposits, FX stablecoins may be easier to acquire, transfer peer to peer, and hold through offshore platforms or unhosted wallets. By lowering these barriers to currency substitution, they could substitute for some of the existing FX assets used by residents (FX cash or deposits), or they could even increase residents' use of foreign currency and thereby increase the economy's overall level of dollarization. Box 3 provides a range of scenarios for FX stablecoins demand and its relationship to currency substitution.

Once dollarization becomes entrenched, past episodes suggest that it can be highly persistent. Deposit dollarization ratios often remain high for years, even after the original triggers have faded (Reinhart, Rogoff, and Savastano 2014; Galindo Gil and Mendoza Perez 2025).

Dollarization through FX stablecoins could have beneficial effects by expanding competition and access for FX assets. FX stablecoins could promote competition and innovation in the market for FX assets. The improved access to FX assets facilitated by FX stablecoins could be beneficial in those countries where the gains from holding some FX assets are large but the access to them is excessively restrictive.

Dollarization through FX stablecoins can also have several adverse effects; some similar to those of traditional dollarization, and others more specific to stablecoins.

- *First, if FX stablecoins lead to financial disintermediation, they could raise bank funding costs and potentially increase financial stability risks:* A shift from domestic bank deposits to FX stablecoins could weaken banks' deposit base, raise funding costs, and reduce domestic credit provision, especially if banks cannot

[16] Under the Financial Action Task Force (FATF) standards, virtual asset service providers (VASPs) are natural or legal persons who conduct, as a business on behalf of another person, specified types of activity such as exchange, transfer, safekeeping and administration, and offer or sale of virtual assets (which include stablecoins). Like financial institutions, VASPs are required to apply a range of AML/CFT preventive measures to protect the integrity of the financial system. Although the sole act of issuance is not covered under the FATF definition of VASP, stablecoin issuers who, as a business, engage in stablecoin exchange or transfer activities, or participate in or provide financial services related to an issuer's offer or sale of a virtual asset fall within the FATF definition of a VASP or financial institution.

[17] Depending on token design, issuers may also be able to restrict transfers involving specific addresses, freeze balances, or remove tokens from circulation, although these controls would depend on the legal and technical design of the stablecoins.

replace lost deposits with other funding. This differs from currency substitution through domestically held FX bank deposits, where funds typically remain within the banking system. The decline in domestic bank deposits would depend on stablecoins' features, including returns, and on how banks respond to greater deposit competition. During stress episodes, stablecoins could also make runs on domestic banks more likely and severe, especially in countries where safe and liquid alternatives are scarce, and switching costs are high.

- *Second, FX stablecoins can weaken monetary policy transmission and complicate central bank operations:* As households and firms save, borrow, or transact more in FX stablecoins, central banks could have less control over domestic liquidity and interest rates, weakening monetary policy transmission. Liquidity forecasting could also become more challenging if sudden shifts between local currency deposits and stablecoin holdings make banknote demand, reserve balances, and government deposits more volatile. Reserve requirements could become less effective as a liquidity absorption tool if the domestic deposit base shrinks. For systematically important FX stablecoins, central banks' ability to provide liquidity backstops would be severely constrained—if feasible at all—because stablecoins are foreign issued and denominated in a foreign currency.
- *Third, FX stablecoins could reduce seigniorage revenue:* If stablecoin adoption reduces domestic base money—directly or through lower bank deposits—seigniorage would shift from the public sector to private issuers. This could weaken central bank balance sheets, reduce transfers to the government, and concentrate income among a small number of private actors (Kahn, Singh, and Alwazir 2022; Rey 2025). The effect could be more pronounced in economies with a high use of cash or where stablecoins significantly displace local bank deposits.
- *Fourth, FX stablecoins could reduce the depth and liquidity of local capital markets:* By making it easier to access foreign capital markets, they could divert savings away from domestic assets, which in turn could reduce liquidity in domestic capital markets.

Demand for FX assets and the extent of currency substitution will depend on countries' macrofinancial conditions. In countries with open capital accounts and no restrictions on FX demand, FX stablecoins could largely substitute for existing FX assets (especially FX cash), with limited effects on total FX holdings and currency substitution risks.[18] An exception would be if stablecoins provide access to new investment opportunities, in which case FX holdings and associated macrofinancial risks could increase. By contrast, in countries with CFMs or FX restrictions and unstable macroeconomic conditions, FX stablecoins could help circumvent such controls and meet pent-up demand for dollar assets. This could lead to higher FX asset accumulation and greater currency substitution. All four channels, as discussed above (bank disintermediation, weaker monetary autonomy, seigniorage loss, and local market depth), could become more severe because FX stablecoins could open access to previously unavailable FX assets.

Currency substitution risks are higher when FX stablecoins are used as a store of value or for domestic payments. In the latter case, they could undermine the role of the local currency as a unit of account. If FX stablecoins become widely accepted by merchants or used to price goods and services, network effects could reinforce adoption and make substitution more persistent.

[18] Still, this would have implications for bank funding, monetary policy transmission, and potentially tax evasion.

Box 3. Demand for FX Stablecoins Related to Currency Substitution

This box examines a broad range of scenarios for the demand for FX stablecoins that could stem either from replacing the US dollar–denominated assets that are currently held by residents, or from enabling additional currency substitution. The substitution of other currencies for US dollars is an existing, multifaceted phenomenon. This box focuses on currency substitution that stems from the use of US dollars as a store of value because of its perceived stability relative to other currencies and its use in payments, for example, in settling trade flows, because of its dominant role as an invoicing currency (Gopinath and others 2020; Boz and others 2022).

Current levels of currency substitution are primarily enabled by both dollars circulating and US dollar-denominated deposits, outside the United States. Store of value attributes could drive demand if FX stablecoins improve upon physical US currency, for example, because of a decreased risk of being lost or stolen, or if they improve upon dollar-denominated deposits, for example, because of higher returns or the perception of greater stability relative to bank-issued dollar-denominated deposits in emerging markets and developing economies (EMDEs). Further, substitution could be driven by FX stablecoins' use as a means of payment if they are faster and cheaper, particularly in cross-border payments where the US dollar is dominant.

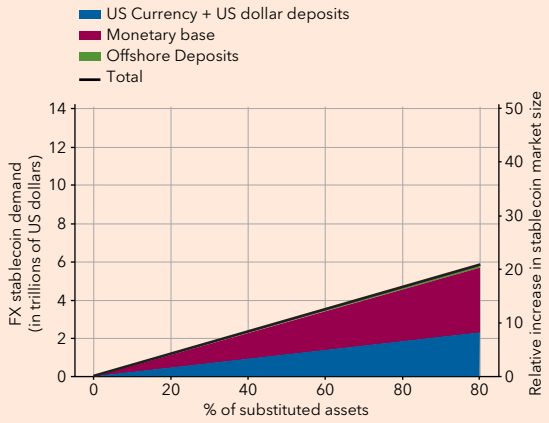
FX stablecoins could also enable additional currency substitution out of local currencies, particularly if there is an unsatisfied demand for US dollars in the country. This could happen in countries that prohibit dollar-denominated deposits or restrict access to a limited set of individuals (for example, to firms that need US dollars to pay for goods), or where access to US currency is restricted. For households that desire dollar-denominated deposits or US currency but are unable to access them, FX stablecoins could then provide a new channel to save in US dollars. The extent of substitution would likely be larger in EMDEs than in advanced economies (AEs) because of weaker local currencies and macroeconomic fundamentals. The scenarios for EMDEs and AEs are illustrated in Box Figure 3.1, panels 1 and 2, respectively. The horizontal axis describes the percentage of assets substituted into FX stablecoins in each scenario. These could include US currency and US deposits, the local currency monetary base, and offshore US-dollar deposits. The left-hand-side vertical axis translates these percentages into absolute values in trillions of US-dollars. Additionally, the right-hand-side vertical axis translates the percentages into a relative increase of FX stablecoins relative to the outstanding stock of US$280 billion at the end of 2025.

The examined scenarios come with several caveats and should be interpreted cautiously. First, there is no probability assigned to the scenarios; the intent is to be as exhaustive as possible. Second, 108 countries that report both the monetary base and FX deposits in the IMF Monetary and Financial Statistics and offshore deposits in the Bank for International Settlements (BIS) Locational Banking Statistics are covered in this exercise. Third, the monetary base is considered to be the relevant quantity for local currency substitution, accounting for both currency in circulation and local currency deposits that may be converted into FX stablecoins. In particular, it is assumed that the money multiplier for local currency deposits that are converted into FX stablecoins is constant such that the liquidity required for their conversion depletes the monetary base. In practice, central banks could provide liquidity to facilitate the conversion of local currency deposits into FX stablecoins, affecting the money multiplier. For US dollar–denominated deposits that are substituted into FX stablecoins, the money multiplier is neglected, as it is typically small in practice because of macroprudential regulations (for example, high reserve requirements on FX deposits). Further, the extent to which reserves backing FX deposits are already accounted for in the monetary base is neglected because of lack of data. Therefore, the total of the monetary base and FX deposits provides an upper bound because

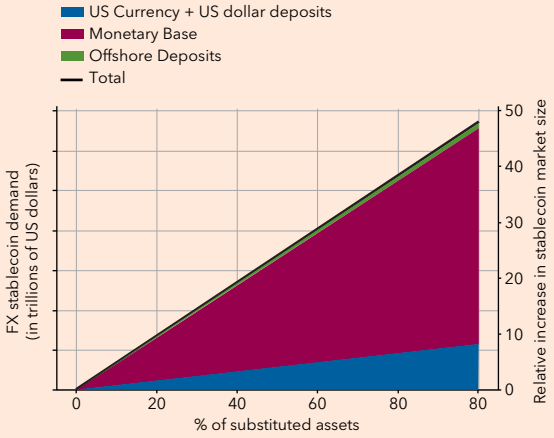
of potential double counting. Fourth, if sufficiently large quantities of assets are substituted into FX stablecoins, the availability of FX reserves in the country and movements of the exchange rate would also have to be considered because these would limit the degree of substitution. These considerations are ignored in the scenarios presented. Finally, offshore dollar deposits are assumed to be fully substitutable into FX stablecoins.

Box Figure 3.1.

1. Emerging Markets and Developing Economies



2. Advanced Economies



Sources: Foreign currency deposits and the monetary base were obtained from the IMF Monetary and Financial Statistics database. Nominal exchange rates and GDP growth were obtained from the World Economic Outlook database. US currency circulating abroad was obtained from the Federal Reserve. Offshore deposit data were obtained from the BIS locational banking statistics. The market size of fiat-backed stablecoins was obtained from Allium. IMF staff calculations.

Note: The right axis displays the implied increase in the stablecoin market, relative to the US$280 billion in outstanding fiat-backed stablecoins at the end of 2025. The calculations only cover countries that report both the monetary base and foreign currency deposits in the IMF's Monetary and Financial Statistics Database for which offshore dollar deposits are available from the BIS locational banking statistics. All values are for 2025. Any missing 2025 values because of delayed reporting have been imputed using past values, adjusted for nominal GDP growth. US currency circulating abroad is assigned to AEs and EMDEs according to their ratio of foreign currency deposits relative to total foreign currency deposits. AEs = advanced economies; BIS = Bank for International Settlements; EMDEs = emerging markets and developing economies; FX = foreign exchange.

Additional Structural Implications

FX stablecoins can be used for illicit purposes. These could include money laundering (ML), terrorist financing, tax crimes, and circumvention of national security restrictions, such as sanctions. To the extent that stablecoins facilitate tax evasion and other forms of unreported economic activity, they may increase informality and reduce the information available to policymakers regarding domestic and cross-border transactions. This could weaken the effectiveness of monetary, exchange rate, and capital flow management policies. In addition, use for illicit purposes could undermine confidence in stablecoins. Runs and de-pegging events could be triggered if a major issuer faces enforcement action, asset freezes, or reputational damage tied to illicit flows.

FX stablecoins can create fiscal risks and opportunities. In the near term, several risks may materialize (Annex 2). Ambiguous or inconsistent tax treatment could create uncertainty about valuation, reporting, and compliance obligations, while also distorting investment and financing decisions. The cross-border nature of stablecoins can make it difficult for tax authorities to identify taxpayers, trace transactions, and obtain relevant information. An increase in tax evasion could reduce public revenues. Stablecoin exposures could also create valuation and balance sheet risks for public entities, contingent liabilities for governments,

complications for treasury liquidity and cash management, and broader macrofinancial spillovers affecting public revenues and financing conditions. FX stablecoins may create opportunities for governments by expanding digital payment options for FX revenue collection and government payments in FX.

Legal uncertainty in many recipient countries may give rise to macrofinancial risks or amplify them because of large-scale FX stablecoin adoption. This uncertainty could stem from unclear legal classification, inconsistent treatment across jurisdictions, and weak legal basis for data collection. Such uncertainty could limit the authorities' ability to monitor and respond effectively to risks. For example, if stablecoins are not clearly classified under existing legal categories (such as "foreign currency" or "foreign assets")—and no new categories are created—users may accumulate stablecoins in a manner that is invisible to the regulators enforcing any existing reporting requirements and FX controls, including CFMs. This makes it harder for authorities to measure balance-of-payments effects, detect currency substitution, or identify capital outflows and CFM circumvention. Stablecoin features—such as peer to peer self-custody transfers and automated smart contract transfers—also bring forth novel legal uncertainties that would generate macrofinancial risks if stablecoins are used at scale.

B. Vulnerability to Shocks

The widespread use of FX stablecoins could reshape capital flow dynamics. By making cross-border transactions faster, cheaper, and easier to access, stablecoins could increase capital flows and could also impact capital and exchange rate volatility. They could do so partly by changing how intermediaries move funds across borders (Reuter and others 2025). In countries with low dollarization but with CFMs or FX restrictions, increased access to FX stablecoins could weaken authorities' influence over the FX market. Indeed, Aldasoro, Beltrán, and Grinberg (2026) show that inflows into dollar stablecoins can create gaps between the stablecoin prices and spot FX rates—similar to a parallel FX market—with spillovers to other markets.

In the near term, stablecoins could amplify the magnitude and impact of shocks not directly tied to macroeconomic fundamentals. This risk is especially relevant when stablecoins are used as an FX store of value or to access digital assets. Two types of shocks could increase:

- *Investor sentiment shocks:* Stablecoins could create new sources of capital flow volatility during risk-off episodes, stablecoin-enabled capital flight, regulatory announcements related to stablecoins in foreign issuing countries,[19] fears of de-pegging, or failures of major issuers, exchanges, or custodians. In addition, these events could affect confidence in the stability, liquidity, and accessibility of the stablecoin ecosystem, leading investors to adjust their portfolio holdings.
- *Interest rate shocks:* Even when stablecoins do not pay interest directly, their effective return may depend on expectations of indirect remuneration (for example, through loyalty reward programs), issuer stability, peg-risk premiums, and platform-specific conditions.[20] As a result, stablecoins could expose holders to new shocks in the effective rate they face.

These shocks are likely to matter more in some countries than others. Countries with long-standing outflow CFMs and high stablecoin adoption (possibly reflecting low monetary credibility) may be especially exposed.

[19] For example, announcements in countries where stablecoins are issued and regulated, such as the introduction of new regulations on stablecoins, may affect reserve requirements or redemption rights.

[20] Stablecoin loyalty programs reward users for transacting or maintaining balances in a stablecoin ecosystem through benefits such as yield, cashback, points, or fee discounts.

Over the medium term, countries could be exposed to additional shocks if stablecoins are used for FX borrowing, substitute for traditional banks, and become globally systemic.

- *External FX borrowing limits:* A country's external borrowing conditions could tighten abruptly even without a change in global macroeconomic conditions. This is because the stablecoin ecosystem depends on intermediaries (issuers, platforms, and liquidity providers) whose willingness to lend can change because of regulatory announcements, operational failures, liquidity pressures, de-pegging events, or exchange failures.
- *Local currency borrowing limits:* Households and firms could face more volatile borrowing conditions if they use stablecoins as collateral or borrow through stablecoin-based lenders. Collateral values may depend on crypto market conditions, whereas liquidity shocks in stablecoin markets could quickly tighten borrowing limits. In addition, traditional financial institutions weakened by competition from stablecoins may have less capacity to absorb shocks, whereas their distress could disrupt domestic credit markets.
- *Reserve currency liquidity shocks:* If stablecoins become systemically large, the failure of major issuers could impair the functioning of the markets for the assets held in their reserve (for example, US Treasury bills). This could raise reserve currency interest rates and create contagion risks for financial institutions and central banks using these assets as savings vehicles or collateral. Evidence suggests that positive stablecoin demand shocks have produced persistent declines in short-term US Treasury bill yields (Cerutti and others 2026), and that stablecoin inflows have a larger effect on Treasury bill yields when Treasury market intermediaries are under stress (Ahmed and Aldasoro 2025).

Moreover, if FX stablecoins result in a higher level of FX debts over the medium term, they could further increase countries' vulnerability to shocks by increasing FX mismatches and weakening monetary transmission. Economy-wide FX mismatches could rise if external debt denominated in FX stablecoins grows faster than FX stablecoin assets. For example, firms that face binding MPMs when borrowing through banks may find it easier to borrow using stablecoins. Moreover, if domestic borrowers end up having a lower level of local currency debts and higher debts in FX stablecoins, whereas savers have lower FX deposits and higher FX stablecoin holdings, the monetary policy transmission mechanism could weaken. This channel could undermine monetary policy credibility, especially in countries where stablecoin adoption is higher because of already low credibility.

On the other hand, a potential offsetting benefit is that FX stablecoins could facilitate the buildup of FX savings which offset FX liabilities and thereby reduce FX mismatches. In principle, economy-wide FX mismatches could decline if FX savings build up and offset some FX debts, especially when they are in the same currency. An important caveat is that financial stability risks may not fall if the holders of FX stablecoin savings are different from the borrowers with FX debt, in which case the risks may depend more on gross rather than net FX debt positions. The FX savings may be especially hard to mobilize in a crisis if they were accumulated by circumventing legal restrictions and holders are reluctant to disclose them.

In addition, if FX stablecoins are used for the new purpose of FX market arbitrage in the medium term, they could deepen FX markets. Both traditional financial institutions and new entrants could potentially use stablecoins to reduce arbitrage costs in FX spot and hedging markets. This could deepen markets and improve their ability to absorb large transactions without charging a significant premium, thereby reducing countries' vulnerability to investor sentiment shocks. However, such benefits could be limited or reversed if stablecoins divert funds away from traditional participants in local financial and FX markets, causing liquidity in those markets to decline.

Over the medium term, stablecoins could also reshape the composition of the capital account and increase reliance on more volatile external financing. If domestic deposits are converted into FX outflows, domestic investment may need to be financed increasingly by nonresident inflows. As documented in the April 2026 Global Financial Stability Report, these inflows tend to come from investors that are more sensitive to global economic conditions. This would make the economy more exposed to capital flow volatility.

5. Initial Considerations on Policy Measures to Manage and Enhance Macrofinancial Stability

Policy responses may combine structural policies, macroeconomic tools to manage balance-of-payments pressures, and international coordination. Structural policies include (1) macrofinancial policies, (2) legal and regulatory measures, and (3) improved data collection to monitor usage and compliance with domestic regulations. Policies to manage balance-of-payment pressures include standard macro levers such as monetary and fiscal policy stances as well as additional tools such as FXIs, MPMs, and CFMs. The appropriate policy mix will vary between near-term and medium-term scenarios.

Policy responses should balance costs and benefits, reflect country circumstances, and remain anchored in IMF frameworks. Policies should support the potential benefits while limiting risks and distortions. They should be calibrated to country-specific conditions while remaining guided by the IV (IMF 2012, 2022), the IPF (IMF 2020), and the Elements of Effective Policies for Crypto Assets (IMF 2023a). In particular, the IV provides guidance on what is classified as a CFM. Under the IV, measures on FX stablecoins could be classified as a CFM if they are assessed as being designed to limit capital flows, in which case they would be discussed in Article IV consultations and the IMF staff reports if they are also deemed macrocritical, and their appropriateness may need to be assessed. Regulations that directly limit outflows into foreign-issued FX stablecoins necessarily discriminate based on residency, so they would be classified as CFMs and perhaps CFM/MPMs if they have a macroprudential nature as well. For other measures which discriminate based on currency and not residency, for example, measures to limit the use of FX stablecoins whether issued domestically or abroad, an assessment would still need to be made regarding whether the measure is indeed designed to limit capital flows, taking the totality of circumstances into account. Purely prudential and conduct measures that do not discriminate based on residency or currency and do not primarily target capital flows would generally not be classified as CFMs and would not need to be assessed under the IV, for example, certain capital or liquidity requirements on crypto exchanges or issuers, and certain requirements on the reserve backing of stablecoins.

For exposition, this section separates responses to structural risks from those to higher vulnerability to shocks. In practice, however, both may arise simultaneously. In the event of a stablecoin-induced "big bang" de facto liberalization, countries may need to adapt to a new steady-state level of capital account openness as well as manage episodes of large outflows in the transition to that steady state. The effectiveness of structural reforms in reducing liberalization risks and supporting confidence would also affect the magnitude of resulting outflows. In addition, although countries can mitigate some macrofinancial risks through domestic policy measures; the effectiveness of these measures will vary with the underlying frictions and shocks. Countries may be able to partly offset the macrofinancial implications of further dollarization and de facto capital account liberalization through stronger macroeconomic, financial, and regulatory policy frameworks. However, they may be less able to insulate themselves from risks originating outside their jurisdictions, such as runs on foreign stablecoin issuers or changes in the transmission of global financial conditions through stablecoin markets. In such cases, beyond building FX buffers and applying preemptive MPMs where appropriate, international coordination may be needed to mitigate risks that individual countries cannot address on their own (see also Section 6).

A. Structural Policies

Macrofinancial Policies

If FX stablecoins liberalize the capital account de facto, policy settings may need to be recalibrated to safeguard macrofinancial stability. Monetary and fiscal policies may need to be adjusted to keep inflation expectations anchored and public and external debt sustainable.

Sound macroeconomic and financial frameworks are essential to manage capital account openness, maintain confidence in the local currency and financial system, limit currency substitution, preserve monetary sovereignty, and ensure debt sustainability. Sound macrofinancial policy frameworks help reduce the incentives for circumventing CFMs, and in turn, to avoid an excessive de facto capital account liberalization. Since FX stablecoins enable faster and more disruptive forms of dollarization, the establishment of sound frameworks becomes even more urgent. Such frameworks include a clear nominal anchor, an effective monetary policy framework, sound financial stability policies (for example, to reduce the risk of deposit outflows), and a credible fiscal policy that maintains debt sustainability and plays its role in ensuring macroeconomic stability. If stablecoins materially reduce tax receipts, additional fiscal adjustments may be necessary to ensure debt sustainability.

Enhancing the efficiency of domestic and cross-border payment systems, and deepening local currency markets, would reduce risks of currency substitution while harnessing the benefits of payments innovation. Many of the perceived benefits of FX stablecoins stem from inefficiencies in existing payment systems. Improving interoperability, ensuring consistent and comprehensive regulatory frameworks across markets, and leveraging new technologies to make transactions faster, cheaper, and more secure improve the efficiency of payments, support economic growth, and, at the same time, lower the appeal of FX stablecoins as a means of payment. Deepening local currency financial markets and domestic FX markets is also similarly important, as it supports local currency use.

Local-currency-denominated stablecoins are unlikely to affect the adoption of FX stablecoins where demand stems from a desire to hold FX assets and could even facilitate it. A well-designed local currency-denominated stablecoin could support domestic payment efficiency and, in partially dollarized economies, even reinforce demand for the local currency. Further, they could also help facilitate some of the medium-term benefits, such as the increased use of stablecoins for FX arbitrage, which could help deepen FX markets (for more details, see Box 5.2). However, if FX stablecoin demand reflects a pent-up demand for FX assets driven by poor macroeconomic policies, providing a local currency stablecoin will not reduce that demand; on the contrary, it could facilitate it. As local-currency-denominated stablecoins would be issued on the same infrastructure as FX stablecoins, conversion between the two stablecoins could happen on-chain with low frictions, potentially outside traditional intermediaries through which CFMs and other FX controls are enforced.

If a surge in FX stablecoin use generates macrofinancial risks because of a removal of preexisting CFMs, those CFMs can be reimposed to prevent premature capital account liberalization. The IV envisages that a reimposition may be appropriate if the previous relaxation of CFMs and ensuing liberalization generates excessive outflows and overwhelms the country's capacity to safely absorb them.

However, the IV does not envisage the imposition of new outflow CFMs in the event of capital outflows into FX stablecoins if there are no (imminent) crisis circumstances. In such a case, including in a de facto "big bang" liberalization, which does not lead to a crisis, the IV would recommend that macroeconomic policies should be the main response, supported by sound financial supervision and regulation and strong institutions. Substantial monetary and fiscal tightening may be needed if liberalization leads to large outflows, calls the nominal anchor into question, drains public revenues, and raises domestic public debt-financing costs. In principle, MPMs that do not seek to affect capital outflows could also be appropriate

(IMF 2017, Nier and Olafsson 2020), although such measures may not be sufficient on their own in the context of a sustained outflow.[21] The IV also does not envisage the preemptive banning of outflows through CFMs driven by an intention of maintaining policy effectiveness to manage future shocks. The reason is that limits that take the form of outflow CFMs may be excessively distortionary, especially when used in a permanent manner. Moreover, regulations that limit access to FX stablecoins might also have unintended effects, such as incentivizing users to hold FX stablecoins in unhosted wallets, or through institutions that are outside of the domestic regulatory perimeter, and potentially in countries where a regulatory framework is not yet in place.

Easing access to FX deposits in the domestic banking system could reduce the adverse effects of FX stablecoins on bank intermediation, but the associated risks would need careful evaluation. When demand for FX stablecoins arises as a store of value in FX, easing the provision of FX deposits by domestic banks could be considered. This would allow the FX assets to remain in the banking system and support lending domestically. However, such a choice requires careful analysis, given potential destabilizing risks. Vulnerabilities could arise on the balance sheet of domestic banks because of potential FX mismatches, as well as trigger currency substitution in the domestic banking system, leading to loss of monetary control.

Legal and Regulatory Frameworks

Aligning laws and regulations in FX stablecoin recipient countries with international standards and recommendations supports the achievement of key policy objectives. Countries should fully implement relevant global standards and recommendations set out by the Basel Committee on Banking Supervision, Financial Action Task Force (FATF), Financial Stability Board (FSB), and International Organization of Securities Commissions (IOSCO) to protect markets, consumers, financial integrity, and financial stability. Box 4 provides examples in selected jurisdictions of legal and regulatory approaches toward FX stablecoins. The effectiveness of the standards' implementation will depend on countries' enforcement capacity, the willingness of stablecoin issuers to comply, and effective cross-border cooperation (Section 6). This makes robust and consistent legal and regulatory frameworks essential across the jurisdictions where major FX stablecoins are issued.[22] For instance, in the case of failures of issuers that are licensed in more than one country, the coordination of key regulatory features and safeguards to ensure a level playing field for stablecoin holders would ease challenges related to the risk of cross-border contagion at times of stress.

Effectively implemented AML/CFT frameworks may be critical to safeguarding the integrity of the FX stablecoin ecosystem and mitigating illicit finance risks that can amplify macrofinancial vulnerabilities. Stablecoins have become the dominant virtual asset in illicit on-chain activity (Chainalysis 2026; FATF 2026). Effective, risk-based implementation of the FATF standards by jurisdictions and all entities in stablecoin arrangements undertaking VASP activities[23] is essential to identifying, preventing, and mitigating ML, terrorism financing (TF) and proliferation financing (PF) risks. As the stablecoin ecosystem evolves, policymakers should ensure that financial integrity safeguards remain effective, including by strengthening licensing and oversight of stablecoin intermediaries; clarifying the responsibilities of competent authorities and participants in that ecosystem; and enhancing transparency, reporting of suspicious transactions, and information-sharing mechanisms. Jurisdictions should complement these measures with risk-based mitigants for P2P and unhosted wallet activity and enhanced domestic and international cooperation among AML/CFT supervisors, financial intelligence units, and law enforcement agencies.

[21] IMF (2017) and Nier and Olafsson (2020) provide examples where pre-existing MPMs were relaxed for financial stability reasons during outflow episodes.

[22] At the moment, Tether, a dollar-denominated stablecoin issued in El Salvador, is not subject to a full, independent audit or 1:1 backing of its reserves (Adrian and others 2025).

[23] Entities in a stablecoin arrangement fall within the remit of the FATF standard when they undertake any of the activities listed in the FATF's definition of a VASP. In particular, stablecoin issuers are subject to the FATF standard when they are (1) engaging in exchange or transfer activities, such as exchanging a customer's fiat currencies or virtual assets for their stablecoins during the issuance or redemption process, or (2) participating in and providing financial services related to an issuer's offer or sale of a virtual asset. See FATF (2021, 2026) and Adrian and others (2025).

Box 4. Examples of Legal and Regulatory Approaches to FX Stablecoins

Some countries have restricted or banned the acquisition and use of crypto assets, including stablecoins, whereas others enacted comprehensive regulations. According to the 2024 Annual Report on Exchange Arrangements and Exchange Restrictions, approximately one-quarter of the membership reports some form of restrictions on the acquisition and use of stablecoins, both among residents and in transactions between residents and nonresidents (Annex 4). Whereas some countries have enacted comprehensive legal reforms, others are still considering policy options. Comprehensive regulations, in line with international standards and recommendations, are preferred to blanket bans, as such bans can be costly to enforce, may stifle innovation, and increase incentives for circumvention.[24] Yet, the Financial Stability Board has found that the implementation of stablecoin regulation in line with global recommendations is relatively slow and uneven, with some critical gaps across jurisdictions.

Among countries that enacted stablecoin-related legal reforms, some have addressed the regulation of issuers' market access and related conditions for FX-denominated stablecoins offered to residents. These jurisdictions generally followed two approaches: requiring local establishment of issuers European Union (EU) and allowing market entry subject to equivalent or comparable foreign regulation (United States, Japan). These approaches are often complemented by additional conditions, including a requirement that the issuer holds sufficient reserves locally to meet domestic liquidity demand as a prerequisite for market entry (United States) or that the distributor of foreign-issued stablecoins holds domestic assets equal in value to the stablecoins held in custody for local customers (Japan).

In some cases, jurisdictions have introduced restrictions on the types of FX stablecoins that exchanges are allowed to offer to residents. Some authorities have recognized that residents may access FX stablecoins indirectly through intermediaries and have therefore expanded legal frameworks to govern crypto-asset service providers. These include subjecting these entities to legal and regulatory requirements, which might also limit the tokens that such intermediaries can offer to residents, for instance by restricting their listing only to stablecoins that meet domestic regulatory requirements or that in any case have been subject to appropriate due diligence.

These legal frameworks have also started differentiating between FX-denominated and local-currency-denominated stablecoins, allowing for tailored requirements depending on the associated risks. A key question is whether domestic issuers are allowed to issue FX- stablecoins. This has a series of implications, as the FX- stablecoins, under some legislation, may trigger the application of the legal framework of the country whose currency is referenced. Some countries have permitted the use of FX stablecoins for investment but not for payment (South Africa), whereas others retained powers to limit issuance of FX stablecoins used as a means of exchange after a certain threshold (EU).

Frameworks are also introducing measures that shape redemption rights and conditions. These address the composition and currency of reserve assets—such as mandating currency matching between the denomination of the stablecoin and its backing assets in some jurisdictions (EU), whereas others mandate that redemption should always include a local currency option (Kenya). This distinction matters most for FX stablecoins circulating in a recipient economy whose currency differs from the token's denomination.

[24] IMF (2023a) for a broader discussion on the pros and cons of crypto bans, see Box 3.

The FATF standards do not explicitly apply to P2P transactions conducted through unhosted wallets, as AML/CFT obligations are generally imposed on professional intermediaries. However, in line with the risk-based approach underpinning the FATF standards, jurisdictions should identify, assess, and understand the ML/TF/PF risks relevant to them, including risks relating to P2P transactions and unhosted wallets, and implement appropriate measures to mitigate these risks. Examples of risk-based mitigants for P2P transactions and unhosted wallets include market entry controls;[25] requiring entities involved in stablecoin arrangements to subject unhosted wallets to AML/CFT obligations at the time of issuance and redemption; requiring VASPs to facilitate transactions only to and from other AML/CFT obliged entities; additional requirements on VASPs that conduct transactions with non-AML/CFT obliged entities;[26] and guidance and advisories to the public and VASPs on the ML/TF/PF risks of P2P transactions with unhosted wallets (FATF 2021, paras. 105–7, 2026, paras. 25, 77–78).

Effective AML/CFT measures that are consistent with the FATF standards may also act as CFMs, and they are carved out as a special category of measures by the IV and not subject to its appropriateness assessment. The IV also carves out those CFMs that are imposed for security reasons, to combat tax evasion, and are consistent with international prudential agreements. Such measures do not need to be assessed for appropriateness under the IV. Nevertheless, care should be taken to undertake a cost–benefit analysis, that is, to ensure that any measures that restrict these flows do not excessively hamper any beneficial use of stablecoins.

To avoid legal uncertainty, the treatment of stablecoins should fit within existing legal categories, or a new category should be devised in line with financial and payment laws. At the outset, this includes a determination of whether stablecoins are treated as capital, currency, or another legal category, and establishment of appropriate licensing and registration regimes.[27] After the classification stage, different regulatory treatments may be required depending on the purpose of transactions involving stablecoins. Extending reporting requirements to stablecoin-related activities may be appropriate. Beyond extending existing regimes to cover stablecoins, frameworks should further account for the specific characteristics of crypto assets, including peer to peer transactions and cross-border features such as the use of foreign custodians. Annex 3 provides country examples of such reforms.

Effective and Secure Data Collection

Reliable and timely data are essential to assess the macrofinancial risks arising from FX stablecoins. Yet, stablecoin activity often takes place outside regulated intermediaries, limiting authorities' visibility into issuance, holdings, counterparties, residency, and cross-border flows. Authorities should therefore assess which data can be collected under existing arrangements and identify any legal, reporting, and data-sharing gaps.

In the near term, authorities should use available data sources while recognizing their limits. Engagement with exchanges, custodians, wallet providers, and other service providers can offer useful information on stablecoin holdings and flows. However, unless supported by a clear legal basis, such arrangements remain voluntary, and authorities may lack the powers to require reporting or sanction noncompliance. Commercial data providers and on-chain analytics can help identify broad trends, but rely on assumptions about user location, residency, wallet attribution, and transaction purposes. These sources should complement, not replace, official reporting.

[25] For example, prohibiting VASP licenses for platforms that allow transfers to unhosted wallets.

[26] For example, limits on the amount of funds that can be transferred by a VASP customer to unhosted wallets, requirements for VASPs to apply enhanced customer due diligence measures for transactions with unhosted wallets, and requirements for VASPs to report transactions with unhosted wallets to the financial intelligence unit.

[27] See also Box 1 in IMF (2023a) for a legal classification of crypto assets including stablecoins.

Over time, reporting requirements for stablecoin activity should be embedded in legal and regulatory frameworks. These frameworks should provide authorities with powers to require reporting of relevant data. Reporting obligations should cover issuers, exchanges, custodians, wallet providers, and other relevant service providers and should be tailored to policy needs, including monetary policy, financial stability, capital flow management, and tax compliance. The data should be sufficiently frequent and granular and cover reserve assets, issuances and redemptions, resident/nonresident activity, cross-border and domestic flows, and wallet activity, while capturing key information relevant for taxation. Pilot data-collection efforts in this area show promising results (Box 5).

Effective monitoring also requires clear legal gateways for data sharing across competent authorities. Stablecoin activity cuts across payments, banking, securities, taxation, financial integrity, and macroeconomic statistics. Legal frameworks should clarify the powers and modalities to share data among central banks, supervisors, statistical agencies, tax authorities, financial intelligence units, and other relevant authorities, while protecting confidentiality, bank secrecy, and tax secrecy. Where direct sharing is constrained, authorities could use aggregated data exchange, consent-based arrangements, multilateral supervisory forums, or ad hoc supervisory colleges to help bridge information gaps.

Box 5. Pilot Data Collection for the Group of Twenty (G20) Data Gaps Initiative (Third Phase of the G20 Data Gaps Initiative) Recommendation 11 on Digital Money

International comparable data are essential for sound policy on digital money. To support this objective, the IMF, in its coordinating role under the G20 Data Gaps Initiative (Third Phase of the G20 Data Gaps Initiative, DGI-3) Recommendation 11 (https://www.imf.org/en/news/seminars/conferences/dgi/g20-dgi-recommendations#rec3-11), launched a pilot data collection exercise on digital money and crypto assets, including stablecoins, between July and December 2025.

The pilot tested whether standardized templates could capture both the supply and demand sides of stablecoin activity. The issuer template covered supply-side information (issuance, amounts outstanding, and holder information). The intermediary template collected demand-side information from exchanges and custodians (holdings and flows, broken down by sector, residency, and, where feasible, counterparty jurisdiction). Together, such data can help assess currency substitution and cross-border exposures.

The pilot showed that stablecoin data collection is feasible, but coverage remains uneven. Of the 11 jurisdictions hosting stablecoin issuers, 5 reported total issuances, and 2 reported resident holdings and flows. Two nonhost jurisdictions compiled resident holdings through custodian data, showing that a holdings-based view is possible even where issuers are located offshore. However, issuance data and resident holdings data are rarely available together on a consistent basis.

Important information gaps remain, especially on holders and unhosted wallets. The most significant gap is the lack of information on stablecoin holders. No jurisdiction reported holdings by sector or cross-border breakdown. Stablecoins held in unhosted wallets remain especially difficult to measure because they fall outside any regulatory reporting perimeter.

Data availability should improve as regulatory and reporting frameworks mature. As countries continue to implement regulatory frameworks with statistical needs embedded in their design, the availability, quality, and granularity of data are expected to improve, supporting more robust macroeconomic analysis.

Tax reporting may capture crypto-asset transaction information that is not available from blockchain records alone. Where legally permitted, such information could be shared with other competent authorities for regulatory or macrofinancial monitoring purposes, subject to strong confidentiality safeguards and clear limits on onward disclosure (Box 6).

Stablecoin-specific reporting should seek to narrow gaps in unhosted wallets and peer to peer transfers. Authorities could combine self-reporting, on-chain analytics, and obligations at on- and off-ramps to improve visibility into hard-to-observe activity. Reporting should also align with the guidance in the recently updated international statistical standards[28] so that stablecoin-related positions, flows, and services are recorded consistently across macroeconomic statistics and countries. The objective is not perfect visibility, but a reporting perimeter broad enough to identify currency substitution, capital flow pressures, and financial stability risks in time to respond.

B. Management of Shocks Using the IPF

The IPF provides advice on the appropriate policy mix to manage shocks affecting a country's external position. The policy toolkit may include monetary and fiscal policies as well as FXIs, MPMs, and CFMs. The IPF relates a country's appropriate policy mix for macrofinancial stability to its shocks, frictions, and effectiveness of its policy tools (IMF 2020).[29] The IPF's advice on CFMs and MPMs is consistent with the IV on capital flow management, specifically the part of the IV that overlaps with the IPF in its advice on how to use CFMs to manage external shocks.[30]

The IPF recommends that to manage shocks, countries identify whether monetary or fiscal policies are sufficient to ensure macroeconomic and financial stability or whether there is a "use case" for FXIs, MPMs, or CFMs (see Annex Box 5.1). There are three use cases for these additional tools related to three different types of frictions:

- Use case A: large changes to hedging and financing premiums owing to nonfundamental financial shocks affecting a country with shallow FX markets, where market participants cannot arbitrage away the premiums
- Use case B: an increase in financial stability risks from unhedged FX mismatches after a large depreciation
- Use case C: a de-anchoring of inflation expectations owing to a large exchange rate movement

For each use case, the IPF recommends an appropriate mix of ex ante and ex post policies to handle shocks (that is, ex ante to denote policies in advance of shocks, and ex post to denote policies after shocks materialize). Monetary and fiscal policies are sufficient to achieve macroeconomic and financial stability when the conditions for the use cases are not satisfied. One or more use cases can be triggered at the same time. Different countries may have different salient use cases, so they would have different policy recommendations. Each country's prioritization over the potential policy responses discussed in this section should be attuned to the mix of use cases that is most salient for that country.

[28] The 2025 System of National Accounts, the Integrated Balance of Payments and International Investment Position Manual (BPM7), and the Monetary and Financial Statistics Manual currently being updated envisage cross-country comparable and comprehensive measurement of stablecoins, including the treatment of residency-based and cross-border stablecoin flows.

[29] The IPF board paper (IMF 2020) brings together insights from the conceptual and quantitative models (Basu and others 2020, 2025; Adrian and others 2020, 2021; Basu and Gopinath 2024).

[30] The insights of the IPF were incorporated into the revised Institutional View (on the Liberalization and Management of Capital Flows) (IMF 2022). The IPF's advice for foreign exchange intervention is contained in IMF (2023b), and its advice on the policy mix for low-income countries is contained in IMF (2026).

FX stablecoins may affect the appropriate policy mix differently in the near versus the medium term. As described in Section 3, the demand for and uses of stablecoins may be different in the near and medium term. In the near term, this paper's assumption is that FX stablecoins are used for the same purposes as in today's stablecoin ecosystem, but with more widespread adoption. These uses of stablecoins include access to digital markets, an FX store of value, and payments and transfers. The use of stablecoins may expand to different purposes in the medium term, including FX borrowing and FX market arbitrage.[31] This distinction matters because, as described in Section 4, different uses of stablecoins affect macrofinancial risks, frictions, and the effectiveness of tools in different ways. Accordingly, as the demand for and uses of stablecoins evolve, so would the IPF recommendations for the policy mix.

This section first provides policy advice for a wide range of shocks and then concludes by covering the advice for the imposition of outflow CFMs after shocks that generate (imminent) crises. The majority of this section provides policy recommendations for monetary and fiscal policies as well as FXI, MPMs, and inflow CFMs for normal times and after shocks, the latter of which may span from moderate to severe. Some outflow shocks may materialize from circumvention of longstanding CFMs. The IV indicates that the imposition of new outflow CFMs may be a useful additional policy tool for the most severe shocks which generate (imminent) crisis circumstances. Correspondingly, we explain the conditions and modalities of their use at the end of the section.

Near Term: More Stablecoin Usage within the Existing Ecosystem

From the IPF perspective, the higher incidence and severity of financial shocks imply that countries with salient IPF frictions, high stablecoin adoption, and a reliance on long-standing outflow CFMs may have to rely more heavily on FXI. As described in Section 4, reduced CFM effectiveness could make it more difficult to manage capital flow pressures. As a result, there may be a greater need for FXI as a substitute policy tool if such countries also have salient IPF frictions. Moreover, the greater frequency of financial shocks could activate all the IPF use cases more often.

In the event of outflows after a de facto "big bang" liberalization, countries would have to adjust macroeconomic policy settings, while deploying FXIs and MPMs and adjusting inflow CFMs remains appropriate only when the IPF use cases arise. As described previously, the first line of defense is for macroeconomic policies and MPMs to be adjusted to ensure macrofinancial stability at the new steady state with greater capital account liberalization. In the transition to that steady state, there may be episodes of particularly large outflows and depreciation pressures as the CFMs regulating them become more porous, forcing policymakers to make difficult trade-offs. FXI, a further adjustment in MPMs, and relaxation in inflow CFMs and CFM/MPMs may be appropriate if the IPF use cases materialize. FX reserves may not be available for managing the exchange rate if they are needed to provide targeted FX transfers to ease intensified balance sheet constraints on banks and other systemic financial institutions. FXIs, MPMs, and CFMs should not substitute for the warranted macroeconomic policy adjustments. For countries with stabilized arrangements or pegs, the adjustments in monetary and fiscal policies may need to be larger to support the nominal anchor. A sharp tightening of monetary policy may be needed to stem depreciation pressures, whereas procyclical fiscal adjustments may be needed as activity slows, public revenues diminish, and domestic public debt-financing costs spike. The peg itself may need to be adjusted if the current parity places too much pressure on FX reserves, especially in countries with scarce reserve buffers to begin with. Finally, governance problems would need to be addressed to reduce the incentive for residents to engage in sustained outflows, and other policy tools should not substitute for those improvements.

[31] The medium term may or may not differ from the near term, depending on whether stablecoin adoption for use cases different than the current ones takes place.

In countries with IPF frictions, high stablecoin adoption, and past reliance on outflow CFMs, ex ante policies to address all the use cases and accumulate FX reserves would become more urgent. For these countries, it would be important to prioritize the mitigation of the frictions in advance of shocks to reduce the necessity of FXI and the pressure on FX reserves after shocks. Measures to deepen local currency bond and FX hedging markets can respectively reduce the risk of the use cases related to shallow FX markets (use case A) and FX mismatches (use case B). Ex ante MPMs and preemptive CFM/MPMs (the latter provided that the conditions set out in the IV are fulfilled) may be tightened to reduce the risk of FX mismatches that may trigger use case B. Reforms to improve monetary credibility and tightening ex ante MPMs on local currency debt can reduce the risk of use case C, where monetary policy credibility is imperfect. For countries vulnerable to the IPF use cases, it may also be desirable to accumulate more FX reserves if they are insufficient. Such accumulation faces an intertemporal trade-off. Reserves should be accumulated during periods when the use cases are less salient and at a speed that does not exacerbate them. Those reserves could then be used in circumstances when the combination of shocks and frictions makes the use cases substantially more severe.

Countries with low FX buffers may have to impose more ex ante MPMs and CFM/MPMs on inflows and reform central bank liquidity facilities. Some countries may have insufficient FX buffers to engage in more ex post FXI and face severe constraints to building their FX buffers. These countries may have to adjust to an environment with greater destabilization of macrofinancial conditions after financial shocks. To mitigate ex post financial stability concerns, these countries may then have to prioritize tighter ex ante MPMs and CFM/MPMs (again if the conditions set out in the IV are fulfilled for the latter) to reduce private debt levels: lower local currency debt reduces the spillovers from local currency premiums relevant for use case A, whereas lower FX debt reduces the FX mismatches relevant for use case B. For countries with shallow FX markets, ex post financial stability could also be enhanced if the country is well positioned to offer central bank local currency liquidity facilities under adequate safeguards.

Medium Term: Uncertainty about Use Cases and Scenarios

Medium-term effects of stablecoins are considerably more uncertain because future stablecoin uses are difficult to predict. To illustrate the range of possibilities, the paper considers two extreme scenarios. These scenarios are designed to illustrate a wide range of possible effects. There are various mechanisms by which the FX stablecoin uses and macrofinancial risks described in Sections 3 and 4 may modify the IPF analysis in the medium term (Annex 5 offers a detailed discussion). Some of the mechanisms bring downsides, whereas others bring upsides, and in principle, a constellation of downsides and upsides may coexist. This section discusses two extreme scenarios that capture very different worlds. The first scenario collects a set of possible uses of stablecoins from Section 3, macrofinancial risks from Section 4, and a global regulatory environment that generate negative effects. It features amplified shocks and ineffective tools. The second scenario collects a set of possible uses of stablecoins and a global regulatory environment that generate positive effects. It features a sustained reduction in all frictions. For each scenario, the section discusses the conditions under which they may arise and the negative and positive feedback loops which countries experience.

Medium-Term Downside Scenario: Amplified Shocks and Ineffective Tools

In the downside scenario, stablecoins are assumed to be mainly used to substitute for traditional financial institutions, facilitate large FX debt inflows, and circumvent most financial regulations. The IPF use case A becomes more salient for some countries because the FX market is assumed to become shallower as existing participants' balance sheets shrink because of disintermediation driven by stablecoin adoption. Use case B also becomes more salient in those countries where the FX mismatch increases owing to a surge in external debt denominated in FX stablecoins, which offsets any increase in FX stablecoin assets (for example, some firms who face binding MPMs when borrowing through banks may find it easier to borrow

using stablecoins, perhaps because of poor regulations). Moreover, if domestic borrowers shift from local currency debts to using FX stablecoins and savers use them for FX deposits, the monetary transmission mechanism would be dampened. This channel could diminish monetary policy credibility and exacerbate use case C, especially as stablecoin adoption may be higher in countries that have lower credibility. MPMs and CFMs on both inflows and outflows are likely to become less effective because of the prevalence of both borrowing and outflows in stablecoins, whereas FXI remains effective as the FX market remains shallow. Finally, all the shocks in Section 4 are assumed to become salient, with stablecoin issuers becoming large enough to pose systemic risks in reserve currency debt markets.

Given the environment of amplified shocks, exacerbated frictions, and the diminished effectiveness of monetary policy, MPMs, and CFMs, the IPF would recommend a greater reliance on fiscal and FX buffers ex ante and a heightened need for FXI and central bank liquidity ex post. Overall, although well-designed regulations remain paramount, countries with financial frictions may need to prioritize larger fiscal and FX buffers and may need to deplete them more frequently. Building fiscal and FX buffers ex ante would be needed to improve resilience to the kind of shocks that could trigger the IPF use cases. After shocks, there may be more need for ex post FXI and central bank liquidity as MPMs and CFMs may become less effective. Central bank liquidity facilities in local currency and FX may have to be reformed and extended to different categories of agents, which might be challenging for central banks if these agents are outside the regulatory perimeter. Larger policy rate adjustments may be needed after shocks that de-anchor inflation expectations, if the monetary transmission mechanism is diminished. Sharper monetary policy changes and fiscal contractions would become necessary when FX buffers get depleted, especially in stabilized regimes or pegs. After global shocks, there may be speculative attacks on countries that do not have the capacity to build FX buffers.

This downside scenario is more likely to materialize if stablecoins produce small cost reductions and there is a poor global legal and regulatory environment. If the technology of stablecoins produces only small reductions in financial transaction costs, stablecoins could still be used extensively for circumvention purposes or illicit motives. These latter motives could dominate for countries where the macroeconomic policy settings incentivize large capital outflows for circumvention purposes, and the legal and regulatory frameworks are outdated or ineffective. They could be amplified if the global environment features a regulatory "race to the bottom," where stablecoin issuers and intermediaries migrate to host countries that offer lax regulations and de facto permit the use of stablecoins for opaque and destabilizing purposes. If countries expect that stablecoins are used for illicit purposes and the circumvention of financial regulations, they would not permit stablecoin use by traditional banks and FX market participants, reducing the likelihood that any possible benefits of stablecoin usage are realized.

Some countries may face a negative feedback loop of further amplification of shocks, exacerbated frictions, and worsening effectiveness of regulations (panel 1 of Figure 2). Faced with less effective tools and drained FX buffers, affected countries may announce temporarily tighter MPMs and CFMs, even against advice set out in the IPF and IV, claiming that these measures would help build time and space for deeper structural reforms and warranted monetary and fiscal policy adjustments. However, such a response would not be advisable, as these countries may then keep the MPMs and CFMs for a prolonged time in a distortive manner, that is, to substitute for the warranted adjustments. This strategy would backfire and accelerate the growth in destabilizing stablecoin usage and its adoption by even more agents to circumvent regulations. Countries would again resort to MPMs and CFMs to counter these uses of stablecoins, with all regulations becoming less effective over time.

Medium-Term Upside Scenario: Sustained Reduction in All Frictions

An upside scenario could materialize if stablecoins were used to facilitate FX market arbitrage and accumulate FX savings while countries enact appropriate structural reforms. The IPF use case A becomes less salient if the FX market becomes deeper as both incumbent financial institutions and new

entrants use stablecoins to reduce the costs of arbitrage on FX spots and hedging markets. Incumbent banks and payment service providers may also charge lower markups owing to the competition from stablecoin issuers. Use case B may become less salient if countries' FX mismatch decreases, that is, if there is a surge in external assets denominated in FX stablecoins, which offsets any increase in FX stablecoin debts. Moreover, use case C is assumed to diminish because countries enact structural reforms to improve monetary credibility. Such reforms, alongside a removal of the most distortive financial regulations, could then mitigate the risks of currency substitution and circumvention of regulations because the local currency can function as a stable store of value and beneficial portfolio diversification is feasible for domestic agents using the traditional financial system. These lower IPF frictions would mean that nonfundamental financial shocks could be absorbed by deeper financial markets without macrocritical effects on policy objectives, whereas fundamental shocks would be less likely to generate nonfundamental amplification. Finally, it is assumed that there is global coordination to preserve the effectiveness of regulations such as MPMs and CFMs during systemic crises, which offsets the problem that unilateral MPMs and CFMs become less effective on some categories of flows.

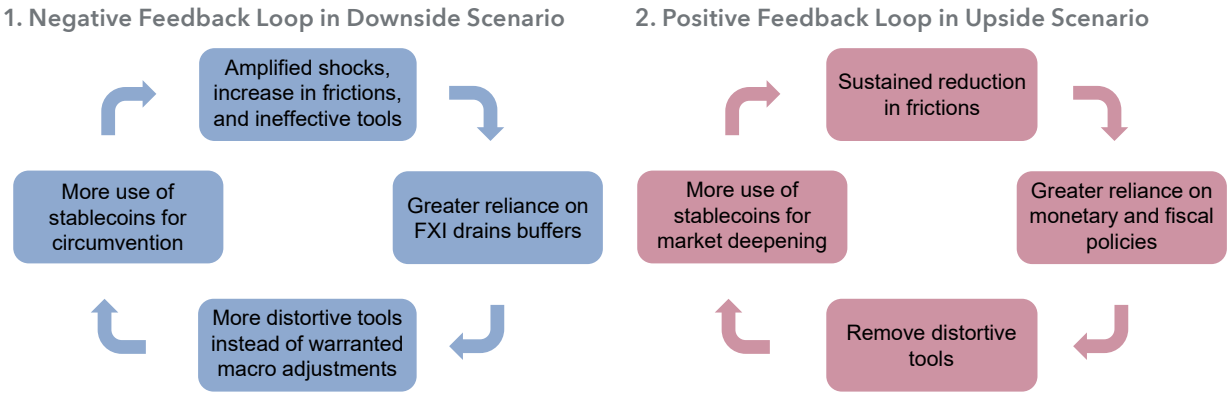
Given the environment of reduced frictions, mitigation of shocks, and effective global coordination, the IPF would recommend less FXI and more reliance on monetary and fiscal policies. There would be less need to accumulate FX buffers ex ante because it is less likely that shocks generate macrofinancial destabilization ex post. After shocks, there would be less need for ex post FXI as the FX market is assumed to be deeper and FX mismatches lower. Monetary policy would remain effective and should be prioritized for managing domestic activity along fiscal automatic stabilizers, while global coordination would reduce the need for self-insurance and reliance on country-specific tools.

This upside scenario is more likely to materialize if stablecoins produce large cost reductions and there is a robust global legal and regulatory environment. If stablecoins produce large reductions in financial intermediation costs, the use of stablecoins in cross-border payments may bring large benefits, whereas their use in FX market arbitrage could substantially deepen the FX market. International regulatory frameworks could incentivize the use of stablecoins for transaction cost reductions alongside robust data provision and liquidity requirements, while also ensuring the consistency of regulations with international standards, permitting the tightening of regulations during systemic crises, and preventing the use of stablecoins for illicit purposes.

Even if such conditions were largely met, the materialization of the upside scenario could remain fragile. Because the upside scenario requires a demanding and interdependent set of preconditions, there could remain risks intrinsic to private stablecoin arrangements, including confidence-driven runs, governance and incentive misalignments of key intermediaries, leverage dynamics associated with arbitrage and collateral use, and the potential reversibility of domestic reforms. Moreover, any decrease in frictions achieved owing to the use of stablecoins could be reversed in stress episodes if the participants in the stablecoin ecosystem engage in distressed sales instead of performing a stabilizing function. As such, this scenario should be viewed as requiring sustained cooperation between countries.

There may be a positive feedback loop of further reductions of frictions and improved monetary credibility (panel 2 of Figure 2). Reassured by international regulatory coordination, countries may permit the use of stablecoins for FX market arbitrage by the traditional banking system to exploit the benefits of lower transaction costs with less fear of adverse side effects. Then, in the next step, as nonfundamental financial shocks are easily absorbed by deeper markets, the countries could reduce any financial regulations such as CFMs, which were used to contain such shocks but simultaneously generated distortions. A reduced use of these regulations may then permit greater usage of stablecoins by more agents to further deepen the FX market.

Figure 2. Feedback Loops in the Medium-Term Scenarios



Note: FXI = foreign exchange intervention. Source: IMF Staff

Likelihood of Different Medium-Term Scenarios

The relative likelihood of the scenarios depends on the size of the cost reductions from stablecoins, the global legal and regulatory environment, and countries' policy responses. The scenarios are neither equally likely nor equally robust. The downside scenario is more likely to materialize in the following circumstances: (1) FX stablecoins produce only small reductions in financial transaction costs; (2) the global environment features a legal and regulatory "race to the bottom" as stablecoin issuers and intermediaries migrate to host countries with lax rules that permit the use of stablecoins for opaque and destabilizing purposes; and (3) countries respond to the introduction of stablecoins by implementing more distortive regulations rather than undertaking the warranted adjustments in monetary and fiscal policies. To increase the likelihood of the upside scenario, countries should prioritize coordination to enact international legal and regulatory frameworks which incentivize the use of stablecoins for transaction cost reductions alongside robust data provision and liquidity requirements, and each country should undertake its warranted macroeconomic adjustments. Regulation of the stablecoin ecosystem is necessary to avoid an outcome where any decrease in frictions achieved through the use of stablecoins is reversed in stress episodes. Coordination would be especially important among the countries hosting the largest stablecoin issuers and users, thereby avoiding a situation where countries weaken regulations in their own self-interest and the resulting outcomes are worse for all countries. The IMF has a key role in supporting the sets of actions to increase the relative likelihood of this scenario.

Global outcomes are likely to materialize somewhere between the two extreme scenarios. The downside scenario may be avoided because the consequences of circumvention may trigger global coordination to improve cross-border regulatory frameworks. The upside scenario may not fully materialize because of the fragility of private stablecoin systems and usage. Moreover, whether the analysis collects all the downside possibilities in one scenario and the upside ones in the other, different shocks and frictions may develop differently in practice (see Annex 5).

Implementing Outflow CFMs in Crisis Times in a World with Stablecoins

Outflow CFMs may be warranted in (imminent) crisis circumstances.[32] The IV sees a potentially useful role for outflow CFMs in cases of disruptive outflows, but only when (1) the country is experiencing a crisis or facing imminent crisis conditions and (2) CFMs form part of a broader policy package that addresses the fundamental causes of the crisis. In such circumstances, outflow CFMs are typically implemented to limit exchange rate depreciation, prevent FX reserve depletion, and assist in restoring macrofinancial stability. According to the IV, outflow CFMs should be implemented as a part of a comprehensive package to ensure

[32] This section builds on Cabedo, Cardozo, and Zhabska (forthcoming).

effectiveness and phased out when crisis circumstances abate (see Annex 6 for the use of outflow CFMs during crises). Outside (imminent) crisis circumstances, there would normally be scope to address capital outflows through macroeconomic, structural, and financial sector policies as well as FXI, inflow CFMs, and MPMs as needed without recourse to outflow CFMs (as described in the previous subsection), except in the case of a premature liberalization where the IV allows for reinstating outflow CFMs until conditions allow for their removal.

CFM laws and regulations should explicitly cover FX stablecoin transactions to remain effective in (imminent) crisis circumstances. Crypto exchanges and wallet providers that enable fiat-backed stablecoin on- and off-ramps, as well as transfers between parties, should be brought within the regulatory perimeter. These entities should be subject to requirements equivalent, as appropriate, to those applied to intermediaries dealing in foreign fiat currencies.

The traditional playbook should be used, making sure that all the necessary transactions are covered and that adequate supervision is applied. Outflow CFMs on FX stablecoins can be implemented in a manner similar to outflow CFMs applied to other forms of external investment, such as foreign direct investment and portfolio investment. In practice, these measures are typically enforced through FX intermediaries, which require documentation verifying the underlying transaction and restrict the execution of cross-border transfers to authorized purposes. Purchases of FX stablecoins abroad, whether for storage in hosted or unhosted wallets, require a cross-border transfer, providing a point at which the CFM can be implemented.

Some transactions could still fall outside the effective reach of CFMs. Enforcement is harder when a transaction does not generate an observable FX flow for domestic authorities. For example, residents could exchange stablecoins peer to peer through unhosted wallets, with the payment leg settled through a domestic bank transfer. An exporter that has accumulated stablecoins through their export earnings could sell them directly to other residents, who pay in local currency through the domestic banking system. In such cases, authorities may only observe a domestic transfer, not the underlying stablecoin transaction. Similarly, transfers between residents on hosted wallets at some institutions may remain outside the visibility of local authorities and therefore escape CFM enforcement.

Any outflow CFMs may need advance planning to be effective and speedily applied during a crisis, for example, through circuit breakers. CFMs targeting stablecoins may not be able to be designed ad hoc once a crisis is underway, because the continuous access to stablecoin wallets allows for transmitting outflows or contagion in a very short time. Effective CFMs therefore may require establishing the legal and technical groundwork well before they are needed.

6. International Cooperation and Role of the IMF

International cooperation, which the IMF can help facilitate, is essential to reduce regulatory arbitrage and support consistent implementation of global standards. Jurisdictions need flexibility to tailor stablecoin regulation to domestic priorities, legal frameworks, and use cases. But because stablecoin activity is cross-border, gaps in cooperation can allow issuers, intermediaries, and users to shift activity to less regulated jurisdictions. The international recommendations developed by the FSB and IOSCO provide a common baseline while allowing country-specific implementation. However, thematic reviews by the FSB and IOSCO have identified weaknesses in cross-border cooperation. Existing cooperation mechanisms provide useful starting points, but many are limited to specific agencies,[33] or may not cover all types of activities. They may need to be upgraded to cover the full range of stablecoin-related issues, including horizon scanning, information sharing, licensing, supervision, and enforcement. Effective cooperation between home and host regulators is especially important for FX stablecoins or large crypto-asset service providers that facilitate access to them. The IMF can support this effort by convening relevant authorities and helping member countries implement regulatory frameworks suited to the cross-border nature of FX stablecoins.

International data sharing is also needed to close information gaps on cross-border holdings and flows. Domestic reporting of data discussed in Section 5 can capture activity through local issuers and intermediaries. But it may miss exposures through foreign platforms, offshore custodians, and unhosted wallets. Reciprocal information exchange is therefore needed to build a more complete view of cross-border stablecoin activity. Such exchange may require domestic implementation of international standards, bilateral or multilateral exchange agreements, and legal authority to share protected information with foreign counterparts, subject to confidentiality safeguards and purpose limitations, applicable to both domestic and cross-border data sharing. The Group of Twenty (G20) Third Phase of the G20 Data Gaps Initiative digital money templates (Box 5) provide one vehicle for such exchange. The IMF can help facilitate this work, building on its experience coordinating reciprocal international data collections such as the Coordinated Portfolio Investment Survey (https://data.imf.org/en/datasets/IMF.STA:PIP) and Coordinated Direct Investment Survey (https://data.imf.org/en/datasets/IMF.STA:DIP). Related issues on data sharing—including the role of tax authorities and frameworks such as the OECD's Crypto-Asset Reporting Framework—are discussed in Box 6.

The IMF can help members assess the macrofinancial implications of FX stablecoins and design appropriate responses. Through bilateral and multilateral surveillance, the IMF can help countries evaluate how FX stablecoin adoption may affect monetary sovereignty, capital flows, financial sector interlinkages, and external stability. Existing surveillance tools, including Article IV consultations, financial sector assessment programs, and external sector and capital flow analysis, provide mechanisms to identify vulnerabilities and monitor broader implications for the international monetary system, including the effects of large-scale adoption of FX-denominated stablecoins on the use of reserve currencies, and the transmission of cross-border financial shocks. The IMF can also provide policy advice, drawing on relevant IMF frameworks, to help members preserve macrofinancial stability while benefiting from financial

[33] For example, the International Organization of Securities Commissions enhanced multilateral memorandum of understanding, which is available to securities market regulators.

Box 6. Strengthening Stablecoin Transparency through International Tax Cooperation, Data Collection and Sharing, and Domestic Legal Frameworks

Stablecoin markets are inherently cross-border. Effective data collection therefore requires internationally coordinated reporting frameworks, common definitions, and legal channels for secure information exchange.

Two complementary international initiatives illustrate this agenda. The Organisation for Economic Co-operation and Development's Crypto-Asset Reporting Framework (CARF; https://www.oecd.org/en/publications/international-standards-for-automatic-exchange-of-information-in-tax-matters_896d79d1-en.html) provides a standardized framework for the automatic exchange of tax-relevant information on crypto-asset transactions. It requires jurisdictions to implement domestic laws obliging reporting crypto-asset service providers to collect information, conduct due diligence, identify reportable users and controlling persons, and determine the jurisdiction for reporting and exchange. But CARF will be effective only where jurisdictions have implemented the rules domestically and activated exchange relationships under the CARF multilateral competent authority agreement or another appropriate legal instrument.

The IMF Statistics Department is also exploring an international data platform for digital money modeled on the Coordinated Portfolio Investment Survey and Coordinated Direct Investment Survey. The platform would link information from issuing, holding, and custodial jurisdictions to map cross-border holdings of central bank digital currencies, stablecoins, and crypto assets on a consistent "from whom to whom" basis. Its objective is to move beyond national aggregates and develop a more comparable global view of digital money, including stablecoin holdings.

International initiatives, however, depend on strong domestic foundations. Countries need clear legal authority to collect information from relevant intermediaries, enforce reporting and due diligence obligations, safeguard confidentiality, and share protected information with foreign counterparts under appropriate exchange arrangements. Statistical initiatives also require a sound reporting basis to ensure consistent data across jurisdictions. Countries developing supervisory frameworks for crypto-asset intermediaries should therefore embed data collection for macroeconomic statistics from the outset. Without these domestic legal, administrative, and statistical foundations, international transparency initiatives will remain difficult to operationalize.

innovation. Capacity development and technical assistance can support legal, regulatory, supervisory, and statistical reforms and strengthen coordination across central banks, financial regulators, ministries of finance, tax authorities, and other relevant agencies. Together, these efforts can help close information gaps, strengthen surveillance, and support a more coordinated response to the cross-border risks posed by FX-denominated stablecoins.

7. Conclusion

FX stablecoins could become macrocritical for recipient countries if adoption broadens beyond current uses. FX stablecoins may support faster and cheaper payments, greater competition, and more efficient financial intermediation. However, large-scale use may entail significant risks that include amplifying currency substitution, weakening monetary transmission, disintermediating banks, and reducing the effectiveness of CFMs. Countries can also become more vulnerable to shocks because of the adoption of FX stablecoins. Adverse macrofinancial impacts are likely to be greater in countries with weak macrofinancial frameworks, incomplete legal and regulatory frameworks, and data gaps. Putting in place strong policy frameworks that can limit these risks is essential to achieving durable benefits from new forms of payments innovation, including FX stablecoins.

Policy responses should be proactive, country specific, and internationally coordinated. Sound macroeconomic and financial frameworks remain the first line of defense. They should be complemented by clear legal and regulatory regimes, reliable data collection, and macrofinancial tools that preserve stability while allowing countries to benefit from innovation. The appropriate policy mix will vary across countries and over time, depending on how stablecoin use evolves, how it affects financial markets, and whether regulations steer adoption toward efficiency-enhancing uses and away from regulatory arbitrage. This calls for an integrated approach that combines structural policies, macrofinancial tools consistent with existing IMF frameworks, and cooperation on regulation, supervision, data sharing, and monitoring of the international monetary system.

The IMF can help member countries manage these risks while preserving potential efficiency gains. Through surveillance, capacity development, statistical work, and support for international cooperation, the IMF can provide policy and technical advice that help members assess the macrofinancial implications of FX stablecoins, design responses consistent with IMF frameworks, close data gaps, and strengthen domestic and cross-border coordination. The IMF is also well placed to monitor implications for the international monetary system, including the role of reserve currencies, cross-border spillovers, and the evolution of global financial frictions. By supporting sound domestic policies and coordinated international action, the IMF can help members harness the benefits of FX stablecoins while safeguarding macrofinancial stability.

Annex 1. Preliminary Evidence on the Costs of Cross-Border Transfers with Stablecoins

Stablecoins are increasingly used for cross-border payments. They are often presented as a potentially cheaper alternative to traditional cross-border channels, but data to support this claim have been limited. Two recent studies provide preliminary evidence on the cost of sending money through stablecoins, focusing on the stablecoin sandwich model: fiat money is converted into a dollar stablecoin, transferred on-chain, and then converted back into fiat money at destination.

Du, Huang, and Scharfstein (2026) compare the cost of cross-border payments across three rails—correspondent banking, fintech money transmitters, and stablecoins—using a harmonized all-in cost measure that decomposes costs into FX markups and explicit fees. Their analysis focuses primarily on US-outbound corridors and a small set of currency pairs. They find that stablecoin rails can reduce some settlement friction, especially because blockchain transfer fees are generally very low and stablecoin-implied FX rates for major currencies can be close to benchmark rates. However, stablecoin transfers do not eliminate the need for intermediation: centralized exchanges and fiat on- and off-ramps, while liquidity providers still play key roles. Their results also suggest that stablecoins' apparent cost advantages are strongest in capital-controlled or segmented FX markets, where stablecoins may trade at a premium relative to official exchange rates.

Reslow and others (2026) provide a more granular cost-accounting framework focused specifically on stablecoin-based transfers through centralized exchanges. They measure the full cost stack across 270 directed corridors, 18 countries, 29 exchanges, and over 4,000 complete routes. Under the assumption that users choose the cheapest available fiat on- and off-ramp methods, they estimate that the average cost of a US$200 transfer is around 2 percent—below the G20 target of 3 percent and below the global average cost of traditional remittances. These findings suggest that stablecoins can be cheaper than traditional channels on average but do not uniformly dominate them. In roughly one-third of matched corridors, the cheapest traditional provider remains less expensive than the cheapest stablecoin route. Trading fees and fiat deposit and withdrawal charges account for most average costs, whereas blockchain transfer fees represent less than one-quarter of total costs. The stablecoin premium—the deviation of local exchange prices of stablecoins from benchmark exchange rates—is the main driver of cross-corridor variation, pushing costs below zero in some corridors and above 8 percent in others.

Both studies focus on exchange-based transfers, which represent the most directly comparable structure to traditional remittance channels and are the ones for which systematic fee and pricing data can be collected, leaving aside other ways of transferring funds through stablecoins cross-border—peer to peer transfers, decentralized exchange conversions, stablecoin-to-stablecoin swaps using decentralized finance protocols, and cases where the recipient holds the stablecoin rather than converting to fiat. In addition, they mainly advance the analysis on cost, whereas attributes related to speed and risk are not directly factored in. Finally, the underlying drivers of costs, including aspects such as market structure and regulatory arbitrage, remain important areas for further research.

Annex 2. Fiscal Risks Arising from Stablecoins and Risk Mitigation Measures

FX stablecoins can create both opportunities and risks for governments' fiscal operations.[34] On the opportunities side, FX stablecoins could expand digital payment options for FX revenue collection and government payments in FX, particularly in cross-border contexts.

FX stablecoins can also create fiscal risks that require careful monitoring and mitigation.

- *Tax risks:* Ambiguous tax treatment can weaken revenue collection and compliance. If stablecoins are not clearly classified for tax purposes, uncertainty may arise over applicable rules, including reporting obligations and valuation. Preferential or inconsistent treatment relative to other financial or payment instruments can also distort investment and financing decisions, undermining tax neutrality. Divergent tax treatment across jurisdictions may also create opportunities for cross-border arbitrage and increase the risks of double taxation, nontaxation, and compliance failures. Mitigation requires clear legal and tax classification, neutral tax treatment relative to other financial and payment instruments, incorporation of tax evasion risks into long-term fiscal scenarios, and robust reporting and information-sharing frameworks, including through international standards such as the OECD Crypto-Asset Reporting Framework.
- *Direct balance sheet risks:* Governments, public entities, or public financial institutions holding stablecoins may be exposed to valuation, solvency, and market risks. These risks may arise from weak reserve backing, issuer failure, redemption problems, loss of confidence, or de-pegging. Mitigation requires exposure limits, clear rules on eligible instruments and counterparties, and appropriate risk-management safeguards for any public sector holdings.
- *Contingent liabilities:* State-owned enterprises, public banks, pension funds, and other public sector entities may hold or transact in stablecoins which may create fiscal risks. Losses in these entities can become public liabilities if governments are required, explicitly or implicitly, to provide financial support. Mitigation requires monitoring and disclosure of stablecoin-related exposures across the broader public sector and their inclusion in fiscal risk analysis.
- *Liquidity and cash management risks:* The use of stablecoins can complicate treasury operations by creating friction between stablecoin and fiat settlement systems. Such arrangements may fragment cash balances, delay access to usable funds, and weaken liquidity forecasting. Mitigation requires prompt conversion of stablecoin receipts into sovereign currency and full integration of related flows into treasury systems and the treasury single account.
- *Macrofinancial spillovers:* Widespread stablecoin adoption can deepen links between the public sector, the financial system, and the crypto ecosystem. Stress at stablecoin issuers or related financial institutions could transmit through the financial system, affecting revenues, financing conditions, or, in severe cases, requiring public intervention. Mitigation requires coordination between fiscal authorities and financial regulators, monitoring of system-wide exposures, and recording and disclosure of relevant transactions in line with *Government Finance Statistics Manual* and International Public Sector Accounting Standards.

[34] This broader public finance perspective is developed in Pattanayak and Rivero del Paso, (eds.), forthcoming.

Annex 3. Country Examples of Stablecoin Judicial Developments and Legal Reforms

Judicial Developments

In the absence of a comprehensive legal regime for stablecoins, courts in some jurisdictions have opined on the application of existing laws to stablecoins. In South Africa, the courts have opined on the legal classification of unbacked crypto assets—particularly Bitcoin—whose implications may extend to stablecoins, albeit with important distinctions depending on their design and legal treatment. For instance, in *Standard Bank of South Africa v South African Reserve Bank,*[35] the High Court held that cryptocurrency is neither "currency" nor "capital," reasoning that, because exchange control contraventions attract criminal and administrative penalties, the operative terms must be construed restrictively in the interest of legal certainty; on that basis the existing rules could not be applied to crypto assets. Shortly thereafter, another court reached the opposite conclusion in *Mangundhla v South African Reserve Bank.*[36] The court held that Bitcoin constitutes both "capital" for purposes of the capital export rule and "money" for forfeiture purposes, on the footing that it is a financial asset capable of storing value and serving as a medium of exchange, and convertible into fiat currency. The transfer of Bitcoin to wallets held on foreign-registered exchanges therefore amounted to an export of capital requiring prior Treasury approval, and the forfeiture order against the applicants was upheld. The court expressly departed from *Standard Bank*, describing it as "clearly wrong," and cautioned against treating the technological character of crypto as placing it beyond the reach of the regime. These diverging rulings have resulted in conflicting High Court judgments on the same point of law, neither of which prevails over the other; the issue can therefore only be definitively resolved by a higher court or through legislative reform.

Legal Reforms and Regulatory Actions

The uncertainty around the legal treatment of stablecoins has also spurred legal and regulatory initiatives. Jurisdictions have brought stablecoins under the existing legal framework through comprehensive legal reforms by issuing ad hoc crypto laws and clarifying how existing laws apply to crypto transactions, including those involving stablecoins. Others are still undergoing legal or regulatory reforms to that end.

For instance, Brazil issued the virtual assets law (Law 14,478/2022), which lays out a crypto legal regime and expressly authorizes the Central Bank of Brazil to prescribe the circumstances in which activities or transactions involving crypto assets may be included in the FX markets or comply with the regime applicable to Brazilian capital held abroad and foreign capital held in Brazil. Pursuant to that mandate, the Central Bank issued Resolution No. 521, of 2025, which amends three regulations implementing Brazil's FX law to capture crypto assets and the relevant service providers under the existing regime governing FX, foreign capital in Brazil, and Brazilian capital abroad. Japan has taken a comparable step by amending existing payment laws to regulate crypto-asset providers and stablecoin issuers. It also amended its foreign exchange and foreign trade act to bring such transactions in crypto assets regulated under existing financial laws within the scope of the act's controls and placed crypto-asset exchange service providers under obligations to verify customer identity and to create and retain transaction records.

[35] See *Standard Bank of South Africa v South African Reserve Bank and Others 2025 ZAGPPHC 481 (GP) (15 May 2025).*
[36] See *Mangundhla and Another v South African Reserve Bank and Others 2026 JDR 2449 (GJ) (1 June 2026).*

With regard to ongoing initiatives, the National Treasury of South Africa published the draft Capital Flow Management Regulations for public comment, aiming to repeal and replace the existing Capital Flow Management Regulations and to issue one that would capture crypto assets expressly. In parallel, and following the previously mentioned rulings, the Reserve Bank of South Africa has also issued a joint clarification with the Financial Sector Conduct Authority that stablecoins are not "money" or "funds" as defined by the existing payment legislation. Korea is also considering a comprehensive legal regime for stablecoins, which includes clarification of how they are treated under the existing foreign exchange and capital flow legal regime.

Annex 4. Access Restrictions to Crypto Assets in the 2024 Annual Report on Exchange Arrangements and Exchange Restrictions

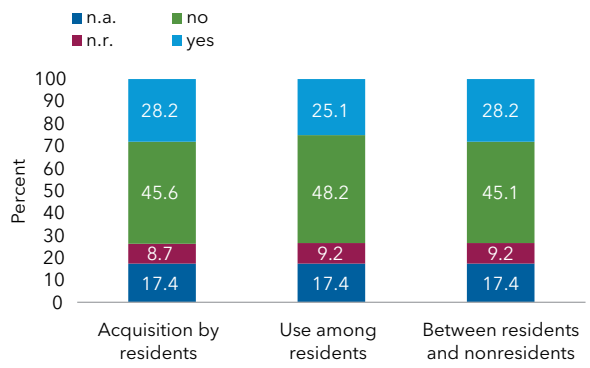
The Annual Report on Exchange Arrangements and Exchange Restrictions collects information about whether member countries of the International Monetary Fund have controls in place on crypto assets, including stablecoins, and exchanges. About half of the countries report either no controls or no regulations restricting the use of crypto assets, including various types of tokens and stablecoins. By contrast, approximately one-quarter of the membership reports some form of restrictions on the acquisition and use, both among residents and in transactions between residents and nonresidents. Among countries that report restrictions, around half have imposed outright prohibitions on the acquisition and use of crypto assets, a few prohibit financial institutions from engaging in such activities, whereas others allow crypto-asset transactions only through licensed operators, such as virtual asset service providers.

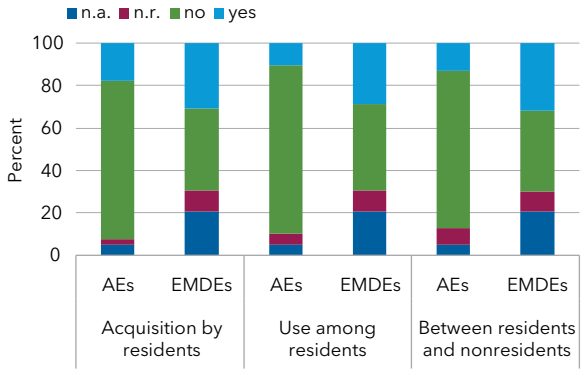
Restrictions are considerably less prevalent in advanced economies, where fewer than 20 percent report controls across the three types of crypto assets covered in the survey, whereas around 80 percent report either no controls or no regulation. In contrast, restrictions are more common in emerging markets and developing economies, where concerns related to capital flight, monetary sovereignty, and financial integrity tend to be more pronounced. About 30 percent of emerging markets and developing economies report some form of controls on crypto assets. In most cases, countries reporting controls do not distinguish among different types of crypto assets but instead regulate them broadly under the umbrella of crypto, digital, or virtual assets, including through comprehensive bans on related transactions, reflecting a cautious policy stance toward risks associated with volatility and cross-border spillovers.

Regulatory changes have been most pronounced for crypto exchanges and trading platforms, underscoring authorities' focus on key entry points between the crypto ecosystem and the formal financial system. Among countries reporting restrictions, around 20 percent indicate that crypto exchange activities are prohibited, whereas more than 60 percent regulate such activities through approval, licensing, or registration requirements.

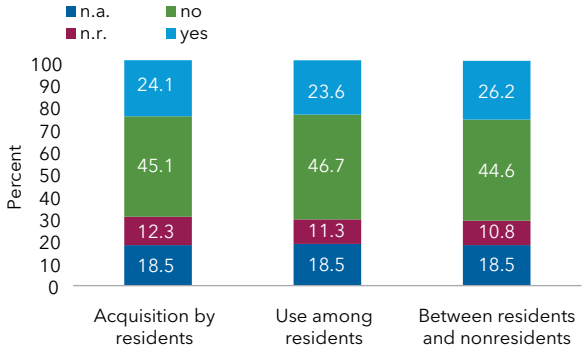
Annex Figure 4.1. Controls on Crypto Assets

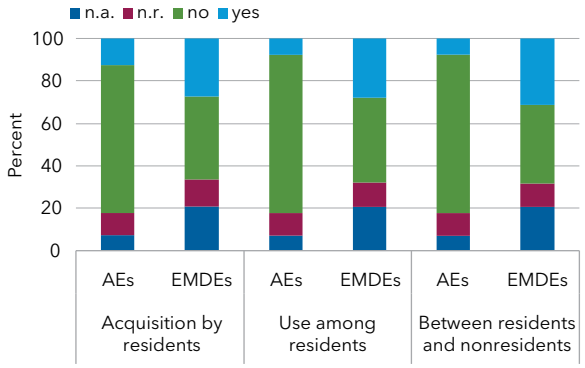
1. Controls on Unbacked Tokens



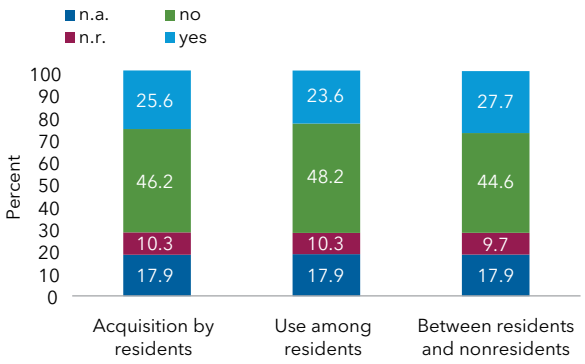


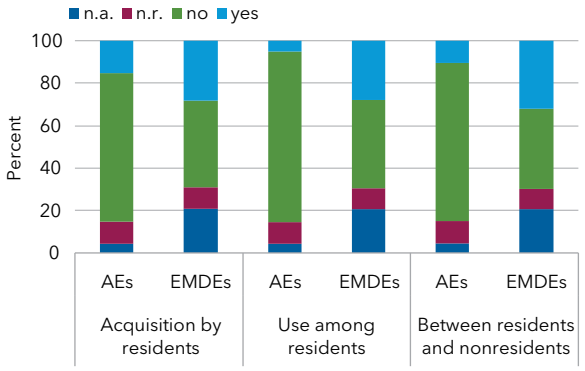
2. Controls on Utility and Security Tokens





3. Controls on Stablecoins





Sources: IMF AREAER database; and IMF staff calculations.

Note: AEs = advanced economies; EMDEs = emerging markets and developing economies; n.a. = pertinent information is not available; n.r. = relevant transaction is not regulated; no = no controls on these transactions; yes = certain controls on these transactions.

Annex 5. Alternative Medium-Term Possibilities under the Integrated Policy Framework

The effects of stablecoins are inherently more uncertain in the medium term, so an analysis of the different possibilities is presented. As highlighted in Section 5, the prevalence of shocks, severity of frictions, and effectiveness of tools can all improve or worsen in the medium term, depending on how the composition of stablecoin users and intermediaries evolves. That evolution is in turn influenced by the impact of stablecoins on transaction costs, the global regulatory environment, and countries' own policy responses. The various mechanisms by which the IPF analysis may be modified in the medium term are discussed later, as the salience of the IPF use cases outlined in Box 1 of this annex may evolve. Some of the mechanisms bring downsides whereas others bring upsides, and in principle, a constellation of downsides and upsides may coexist.

Stablecoin adoption may expand to different purposes in the medium term relative to the near term and generate further financial shocks. As Section 3 describes, the uses of FX stablecoins may expand from their current purposes, including access to digital markets, an FX store of value, and payments and transfers, to different purposes in the medium term, including FX borrowing and FX market arbitrage (Annex Box 5.2 explains how the stablecoin ecosystem would need to change for these medium-term uses to become salient). As Section 4 describes, such additional uses can further exacerbate the incidence and severity of the IPF's financial shocks.

In the medium term, the effect of stablecoins on IPF frictions is ambiguous. The IPF frictions change if stablecoins become widely used for FX market arbitrage and FX borrowing.

- *Shallow FX markets:* The FX markets are shallow if they exhibit financing and hedging premiums because of imperfect arbitrage by market participants. Uncovered interest parity premiums may arise on the FX spot market, and covered interest parity premiums may arise on the FX hedging market. These markets can become deeper with smaller premiums if stablecoins are used to improve the ability of market participants to earn arbitrage profits from any deviations of the premiums from zero. Such arbitrage can be conducted by existing banks and nonbanks adopting stablecoins or by new stablecoin-based entrants. However, the FX market can become shallower if existing FX market participants' balance sheets shrink because of competition with stablecoins, and there are few new arbitrageurs. Stablecoins can also exacerbate the time-varying nature of this friction: if a stablecoin exchange is used for bond market arbitrage but then collapses, the FX market can become abruptly shallower with fewer exchange-based trades.
- *FX mismatches:* There are FX mismatches if FX borrowing is unhedged and not offset by FX assets. Stablecoins can change the severity of this friction as well as its distribution across sectors. One possibility is that the economy-wide FX mismatch could stay the same if stablecoin holdings are just posted as collateral for FX borrowing through the traditional banking system, or if stablecoins just substitute for other existing FX assets in residents' portfolios. Alternatively, the FX mismatch may decrease if stablecoins facilitate the buildup of FX savings in the same currency as the existing FX debts. A large stock of FX savings could also reduce the friction through an indirect channel: if FX borrowers are forced into distressed asset sales after a sharp exchange rate depreciation, FX savers could purchase those assets and thereby prevent a fire sale. Correspondingly, FX mismatches in the traditional banking system may not be transmitted into severe financial stability risks.[37] Alternatively, FX mismatches may increase if domestic agents borrow in stablecoins over and above any existing borrowing through the banking system. Moreover,

[37] In addition, there is little evidence thus far that FX stablecoins have been used for the pricing of goods, FX mismatches can decrease if goods and capital have sticky prices in the same FX denomination as the country's external debts.

Annex Box 5.1. The Integrated Policy Framework (IPF): An Overview

The IPF features fundamental and nonfundamental shocks. Fundamental shocks require monetary and fiscal adjustments to restore stability, especially if they are large and persistent, and the use of foreign exchange intervention (FXI), capital flow management measures (CFMs), and macroprudential policy measures (MPMs) should not substitute for those adjustments. Among these, current account shocks include changes in tourism flows, commodity prices, agricultural output, and supply-chain reconfiguration. Capital account shocks include changes in aid flows, remittances, and FDI. Changes in global interest rates and reassessments of fiscal sustainability, political risks, and conflict prevalence are also relevant. By contrast, nonfundamental shocks result from specific financial market imperfections, including temporary shifts in sentiment of residents or nonresident investors which cause short-term fluctuations in the exchange rate without necessarily having an impact on its medium-term value. Addressing these shocks with tools like FXIs, MPMs, and CFMs can, under certain circumstances, give monetary and fiscal policies more flexibility to pursue traditional objectives.

The IPF identifies three use cases which may rationalize deploying FXIs, MPMs, and inflow CFMs in addition to monetary and fiscal policies. Each use case is related to a combination of shocks and country-specific IPF frictions (that is, shallow foreign exchange [FX] markets, FX mismatches, and imperfect monetary policy credibility). For each use case, the IPF proposes an appropriate mix of ex ante and ex post policies. If ex ante policies are successful, they can reduce the need for ex post policies. The appropriate combination of the different instruments depends on their relative effectiveness and costs as well as whether the use of the tools may confuse markets about policy frameworks.

Use case A is triggered if there are large changes to hedging and financing premiums that threaten macrofinancial stability even though domestic policy settings are appropriate. Such FX and local currency premiums arise owing to nonfundamental financial shocks affecting a country with the friction of shallow FX markets, where market participants cannot arbitrage away the premiums. Ex ante, the IPF recommends reforms to deepen FX and local currency bond markets so that market participants have more capacity to arbitrage the market premiums. Ex post, the IPF recommends a mix of FXIs, MPMs, and inflow CFMs to absorb the nonfundamental shocks and minimize the need to adjust monetary and fiscal policies. MPMs, CFMs, and CFM/MPMs may be relaxed to mitigate financial constraints and risks.

Use case B is triggered if a large depreciation increases financial stability risks from unhedged FX mismatches. The friction is that unhedged FX mismatches on external or domestic debt may arise on financial, household, or corporate sector balance sheets because FX borrowing is not covered by hedges. A depreciation can result from both fundamental and nonfundamental shocks, whether real or financial. It can increase the value of FX liabilities relative to assets and output denominated in local currency, generating default risks and stressing the banking system. Ex ante, the IPF recommends policies to reduce financial vulnerabilities from FX debt stocks. Reforms to develop FX hedging markets should enable the private sector to purchase hedges. MPMs and, if necessary, preemptive inflow CFM/MPMs in line with the IV can reduce mismatches on domestic and external FX borrowing. Ex post, the IPF recommends that if there is a risk of a severe depreciation that generates or amplifies financial risks, and if FX markets are shallow, FXI can be used to limit the depreciation. FX buffers can also be used to backstop private FX debt under mechanisms with adequate safeguards.

Use case C is triggered if a large exchange rate movement de-anchors inflation expectations. Such an outcome may occur if the pricing pass-through from an exchange rate movement generates second-round effects that in turn cause a shift in expectations about future inflation, because of the friction

of imperfect monetary policy credibility. The exchange rate movement can arise from both fundamental and nonfundamental shocks, whether real or financial. Ex ante, the IPF recommends reforms to improve monetary credibility to help mitigate the transmission from observed pricing pass-through into inflation expectations. Reforms to strengthen the monetary transmission mechanism may be needed. MPMs on local currency debt can help financial institutions build resilience to future policy rate changes, so that monetary policy can be adjusted ex post with smaller adverse side effects for financial stability. Ex post, the IPF recommends that monetary policy should be the first line of defense. FXI can be helpful if the costs of using monetary policy alone are high, reserves are sufficient for FXI to be effective, and the costs of including FXI are low.

after shocks, changes in the exchange rate can redistribute wealth between savers and borrowers in stablecoins. Stablecoins may also have adverse side effects on the FX hedging market, for example, if households use stablecoin exchanges instead of traditional financial institutions for FX savings, the latter institutions may have to shrink their FX lending and their trades of FX hedges.

- *De-anchoring of inflation expectations:* This friction arises if exchange rate movements generate pass-through that destabilizes inflation expectations. It could be exacerbated if domestic borrowers shift from local currency debts to using FX stablecoins so much that the monetary transmission mechanism is dampened and the central bank is less able to steer inflation to its target using the policy rate alone. Alternatively, stablecoins could mitigate the friction if the greater access of the population to FX assets induces beneficial currency competition, that is, the central bank undertakes reforms to improve credibility.

Stablecoins can alter the effectiveness of tools more severely in the medium term if they change the level of frictions or the degree of circumvention of the tools. All the mentioned channels become relevant if stablecoins become widely used for FX market arbitrage and FX borrowing.

- *Macroprudential policy measures (MPMs) and capital flow management measures (CFMs):* Some outflow CFMs are already less effective owing to stablecoin usage. Given the more opaque nature of stablecoins and the existence of unhosted wallets, some degree of circumvention might prevail in the medium term despite regulatory efforts to limit it. MPMs and CFMs designed to manage inflows may also become less effective if agents borrow in stablecoins instead of through the traditional banking system where the MPMs and CFMs are typically imposed.
- *Foreign exchange intervention (FXI):* One of the channels by which FXI affects the exchange rate is by altering the FX market premiums in the context of market participants facing arbitrage limits. The effect of FXI on the premiums and the exchange rate depends on the depth of the FX market. If the FX market becomes deeper because of stablecoins as noted in the previous paragraph, that means that market participants are better able to arbitrage away all premiums, including those induced by FXI, so any given level of FXI has a smaller effect on premiums and the exchange rate. However, as also noted earlier, the FX market could also become shallower. Finally, FX reserves may also be used as a collateral backstop for external FX debts. The effectiveness of such use would not be altered.
- *Monetary policy:* The monetary transmission mechanism could be weakened if stablecoins are adopted for FX borrowing and for the purchases and pricing of goods and capital, which may in turn reroute financial activity away from the traditional banking system and reduce the responsiveness of bank lending to interest rate changes.[38]

[38] Although there is limited evidence for such use, using stablecoins for goods pricing could also reduce the benefits of exchange rate flexibility, placing more of the adjustment burden on tools like fiscal policy.

The effect of stablecoins on the appropriate policy mix for each Integrated Policy Framework (IPF) use in the medium term is discussed next. The discussion draws from analysis in previous paragraphs. For each IPF use case, it explains how the policy mix may be affected in the medium term if there are new uses of stablecoins and the shocks and frictions are accordingly altered in a macrocritical manner. This is followed by discussion of how stablecoin adoption may influence the appropriate structural reforms that aim to mitigate each IPF friction.

Annex Box 5.2. Potential Use of Stablecoins in Foreign Exchange (FX) Market Arbitrage and FX Borrowing

As stablecoins become better regulated, more widely adopted, and integrated into existing institutional financial infrastructure, they may be used in FX spot and hedging market arbitrage and FX borrowing in several ways.

Stablecoins could be used by financial institutions engaged in *FX spot market arbitrage* to improve settlement and funding, complementing traditional cash management, repo, and settlement operations. Arbitrageurs on the FX spot market, such as large banks, dealers, or hedge funds respond to uncovered interest parity deviations, by buying and selling bonds in different countries using FX and local currency. They obtain funds for these operations and move currencies between countries. As stablecoins become regulated and integrated into institutional infrastructure, they could bring efficiency gains along this chain of operations.

Efficiency gains from using stablecoins in *FX spot market arbitrage* could arise in several ways:

- Stablecoins may function as convenient tokenized cash that settles continuously and outside traditional banking hours (which may have little overlap between different countries), potentially reducing intraday liquidity friction where convertibility and counterparty acceptance are high.
- Transfers of money between countries using stablecoins can settle instantaneously and at low costs, reducing settlement delay–related risks (for example, counterparty and FX risks) for arbitrageurs, increasing margins. These developments would allow for increased arbitrage capacity, particularly if stablecoins in both FX and local currency denominations are available.
- If bonds also become widely tokenized and settled on programmable platforms with stablecoins, the whole chain of spot market arbitrage transactions could be collapsed into a single transaction that settles instantaneously and atomistically,[3] eliminating settlement delays and risks, and enabling more efficient arbitrage.
- Stablecoin issuers may invest their reserves heavily in short-dated US Treasury bills and Treasury-backed reverse repo, effectively supporting liquidity and demand in short-term Treasury markets, which indirectly could stabilize the pricing conditions relevant for arbitrage.

In terms of *FX hedging market arbitrage*, stablecoins may be used by financial institutions as a complement to existing risk-management frameworks. Banks and asset managers already hedge currency exposures using forwards, swaps, and options, but these instruments involve settlement lags, counterparty credit exposure, operational complexity, and may not always be available for all currency pairs. Holding FX-denominated stablecoins allows institutions to maintain on-balance-sheet currency exposure that can be adjusted in real time, effectively providing a form of continuous spot hedging (though they do not replace derivatives for longer-term FX hedging or forward-dated exposures). If the forwards, swaps, and options can be tokenized and settled on stablecoin platforms, institutions may also be able to arbitrage covered interest parity deviations at lower cost.

Regarding *FX borrowing*, stablecoins may increasingly offer financial institutions and firms an alternative way to access FX funding, particularly in US dollars. Banks and nonbank financial firms routinely borrow dollars synthetically through FX swaps, with pricing determined by interest rate differentials, balance sheet constraints, and the cross-currency basis. As stablecoins become institutionally usable, they could allow firms to borrow dollar liquidity directly in tokenized form, through stablecoin lending markets. Economically, this leaves the institution with the same exposure as conventional dollar borrowing, subject to stablecoin convertibility and peg stability, but operationally it can reduce reliance on correspondent banking networks and swap market liquidity.

For stablecoins to play a meaningful role in FX spot and hedging market arbitrage and FX borrowing, they would need to become both well regulated and either deeply integrated into existing financial market infrastructures or widely adopted within a parallel, tokenized financial system. In practice, this would require that stablecoins are backed by high-quality liquid assets, offer credible redemption at par, and are issued under clear prudential and legal frameworks that provide certainty to institutional users. At the same time, their effective use in core financial intermediation would depend on seamless convertibility with bank deposits, acceptance by regulated intermediaries, and usability in key market functions such as collateral management, securities settlement, and liquidity operations. Although stablecoins and tokenization could, in principle, support a largely self-contained on-chain financial architecture, their role in mainstream financial markets is likely to continue to depend on interoperability with traditional systems, given the need for links to off-chain assets, fiat currencies, and regulatory frameworks.

Specific structural reforms could facilitate the use of stablecoins to reduce IPF frictions:

Providing regulatory clarity and frameworks for the use of stablecoins by financial institutions and other agents (for example, the treatment of stablecoins on balance sheets, the legal classification of stablecoins, and the permitted use cases for stablecoins). Establishing clear frameworks for the tokenization of local currency bonds to reduce frictions in FX markets, enabling the more seamless exchange of stablecoins for bonds (for example, US-bonds are already being tokenized, and it may be beneficial to also tokenize local currency bonds). Finally, establishing clear frameworks for the issuance of local-currency-denominated stablecoins denominated in local currency could support FX market arbitrage.

Use case A: Destabilizing Premium in Shallow FX Markets

In the medium term, the role of FXI may change if stablecoin usage increases the prevalence of shocks and changes the shallow market friction. If foreign appetite shocks grow in importance as stablecoin usage grows over time, ex ante market deepening and ex post FXI become more desirable. In addition, the shallow market friction may change in the medium term, with ambiguous effects on the need for ex post FXI. If the market becomes moderately deeper because stablecoins are used for FX market arbitrage, both foreign appetite shocks and FXI would have a smaller effect on premiums. Incumbent banks and payment service providers may also charge lower markups owing to the competition from stablecoin issuers. The consequences would be twofold. On the one hand, there is less need for FXI for any given size of the shocks because they have smaller effects on premiums, but on the other hand, FXI may still be needed to address the larger shocks, and a larger volume of FXI may be needed for that purpose as FXI would be less effective. If the market becomes substantially deeper, the need for FXI would appear to be eliminated, as market arbitrage alone would ensure zero premiums. However, countries should still maintain some FX reserves for ex post FXI because if stablecoins induce more financial shocks or if stablecoin intermediaries collapse

during some kinds of stress events, the arbitrage benefits of stablecoins could vanish and the FX market could become shallower again. Alternatively, if adverse side effects mean that the FX market may become shallower, ex post FXI becomes more desirable.

In addition, if agents borrow in stablecoins instead of through traditional banks, countries may require larger fiscal buffers. In the medium term, such usage of stablecoins could make ex ante MPMs and CFM/MPMs on inflows less effective if borrowers are able to not just substitute the source of their borrowing but also expand overall FX borrowing. Correspondingly, countries would have to find other means to be able to ensure financial stability. Greater fiscal buffers would enable targeted liquidity injections into the financial system ex post. They would in principle also permit more countercyclical fiscal actions ex post, but fiscal lags would be too long to handle nonfundamental financial shocks that tend to arise quickly.

Structural reforms could tilt the balance of risks by promoting the use of stablecoins in FX market arbitrage while preserving buffers and mitigating shocks. Encouraging a transparent use of stablecoins for FX spot and hedging market arbitrage by regulated financial institutions could improve FX market depth while also enhancing the potential for monitoring, regulatory measures, and buffers to minimize the adverse consequences of the collapse of stablecoin issuers. Countries could consider whether loosening some long-standing outflow CFMs would generate more foreign appetite shocks or mitigate them by permitting local institutions to engage in more gradual external portfolio diversification and reducing the incentives to use stablecoins in an opaque manner to circumvent the regulations. The loosening of outflow CFMs is more likely to be beneficial if regulations are too tight to begin with and all the warranted monetary and fiscal policy adjustments have been made.

Use case B: Financial Stability Risks from FX Mismatches

In the medium term, the FX mismatch friction could be reduced if stablecoins facilitate a large stock of FX savings and are used in goods pricing. If so, shocks may no longer be transmitted into severe financial stability risks through mismatches on balance sheets. Correspondingly, the salience of this use case could decrease over time.

However, if stablecoins are used for FX borrowing in a manner that increases the severity of shocks and the friction while reducing the effectiveness of ex ante MPMs and CFM/MPMs, fiscal buffers and ex post FXI may become more necessary. If stablecoins encourage large FX debts, they could increase the incidence and severity of shocks to external and domestic borrowing limits, while increasing FX mismatches. If agents borrow in stablecoins instead of through the traditional banking system, there could be circumvention of ex ante MPMs and preemptive inflow CFM/MPMs, making them less effective. As a result, countries may have to accumulate larger fiscal buffers and FX buffers ex ante, so that ex post, they can make capital injections into financial institutions and undertake more aggressive FXI. In addition, if the usage of stablecoins makes FX mismatches more difficult to monitor, regulatory FX backstops may need to be extended beyond the traditional financial system and offered wherever FX shortages emerge.

In the medium term, the modality of FXI to address this use case may change if the shallow market friction changes. If stablecoins make the FX market deeper, FXI would be less effective in altering the exchange rate, but FX reserves would remain an effective collateral backstop for FX debts.

Structural reforms could tilt the balance of risks by promoting market development to improve FX hedging while mitigating shocks. Encouraging a transparent use of stablecoins for FX hedging by regulated financial institutions could help reduce financial stability risks by inducing the private sector to purchase hedges to cover their FX mismatches. If so, any reduction in the effectiveness of MPMs and CFM/MPMs would have smaller adverse side effects. Countries could consider whether amending some long-standing MPMs and CFMs could reduce the temptation for the opaque use of stablecoins to circumvent the restrictions and instead bring them within the regulated system, with the aim of thereby improving liquidity

on FX hedging markets. Specifically, the holders of stablecoins would be more likely to make them freely available as collateral on market exchanges if there are no risks in revealing their holdings to the authorities. The amending of the MPMs and CFMs would be more likely to be beneficial if regulations are too tight to begin with and all the warranted monetary and fiscal policy adjustments have been made.

Use case C: De-Anchoring of Inflation Expectations

In the medium term, reforms to improve monetary policy credibility become more urgent whereas ex ante MPMs on local currency debt may worsen the friction by accelerating the use of stablecoins for FX borrowing. Countries with low monetary credibility should enact reforms to remedy the underlying problem without extended reliance on policies that may increase the ratio of FX to local currency borrowing. For example, if MPMs are imposed on local currency debt to improve resilience to shocks, they may backfire by increasing the incentive to borrow through FX stablecoins rather than local currency. If so, the monetary transmission mechanism would be weakened, and the credibility of monetary policy would diminish.

In addition, the traction of the policy rate may diminish if stablecoins are used for purchases and pricing of goods and capital. FX purchases and pricing are most likely to emerge in countries with poor monetary credibility. Central banks in such countries could become less able to control the price level in local currency, although the overall inflation rate may diminish as more goods become priced in FX.

The relative role of ex ante reforms and ex post FXI may change further if shocks become even more prevalent and the shallow market friction changes. If shocks increase in incidence and severity in the medium term, the necessity of ex ante central bank reforms and ex post FXI would also tend to increase. However, if stablecoins make the FX market deeper in the medium term, FXI would be less effective in altering the exchange rate, and reforms to improve monetary credibility may be the most effective remaining tool.

Annex 6. Outflow Capital Flow Management Measures (CFMs) in Iceland in 2008 and Ukraine in 2014–15

Country experiences with implementing outflow CFMs in crises can reveal when they might be useful, how they should be designed, and how challenging it may be to subsequently liberalize them. When outflow CFMs are poorly implemented or not accompanied by adequate macro policy adjustment, they tend to have limited effects (for example, Russia in 1998). But Iceland and Ukraine are examples of more successful use of CFMs during challenging financial crises. This appendix provides a short description of those country experiences.

Iceland

- In the context of large macrofinancial imbalances, the economic consequences of the global financial crisis were severe for Iceland. In October 2008, about 90 percent of the banking system collapsed as the three large cross-border banks—burdened with very large short-term external liabilities (of around 600 percent of GDP)—failed, raising risks of disorderly exits of foreign creditors, exchange rate overshooting, and loss of public sector market access. After a sudden stop in inflows in early 2008 and the banking collapse, in October 2008, Iceland experienced an abrupt collapse in confidence, marked by capital flight. The króna depreciated by more than 50 percent in 2008, the onshore foreign exchange (FX) market dried up, the net foreign asset position of the country worsened markedly, asset prices were plummeting rapidly, external payments were disrupted, and highly leveraged private sector balance sheets weakened. Iceland thus faced a twin currency and systemic banking crisis, with the real economy at risk of a sharp contraction absent a decisive policy response.
- In this context, comprehensive outflow CFMs were introduced in November 2008 to stem capital flight and prevent the collapse of the Icelandic króna. The authorities adopted the Emergency Act (Law No. 125/2008), which enabled immediate intervention in failing banks, facilitated a request for IMF support, and authorized the Central Bank of Iceland to impose FX restrictions. The controls were formalized through amendments to the Foreign Exchange Act (No. 87/1992) on November 28, 2008, and Central Bank of Iceland regulations. The primary objective of the controls was to stabilize the króna and safeguard international reserves. This was achieved by stemming capital flight and ensuring the repatriation of FX revenues, particularly export proceeds. Initial measures in October 2008—including limits on currency outflows and limited FX auctions—proved insufficient. Comprehensive restrictions on outward capital movements were introduced in November 2008, effectively blocking most capital outflows whereas allowing exceptions for those related to servicing preexisting debt obligations and payments of interest income and dividends and payments related to international trade in goods and services. Most capital transactions were restricted for both residents and nonresidents, and conversions between króna and foreign currency were restricted. Nonresident króna-denominated assets—including deposits and securities—were blocked, with proceeds neither convertible into FX nor transferable abroad. Restrictions were also imposed on new lending to and borrowing from nonresidents, and portfolio investments abroad. The use of the króna in cross-border transactions became restricted, and investors were required to reinvest their proceeds in certain local financial instruments. To address circumvention of CFMs and ensure their effectiveness, the controls were subsequently tightened, and enforcement strengthened, including through measures that also gave rise to exchange restrictions.

- Outflow CFMs were a central pillar of stabilization and proved to be effective. They were instrumental in stabilizing conditions, containing destabilizing outflows, and creating breathing space for a more orderly adjustment and loss containment. By limiting disorderly outflows, they helped arrest the collapse of the króna, and support price, external, and domestic stability, thereby preventing a more severe economic collapse. With external market access curtailed, facilitated domestic financing of the fiscal deficit while keeping borrowing costs low through captive offshore króna holdings. Outflow CFMs also expanded monetary policy space by reducing the need for high interest rates to defend the currency, thereby enabling monetary policy to provide more support to the recovery and mitigating the adverse effects on growth and balance sheets. In addition, outflow CFMs supported asset prices by limiting fire sales, facilitated domestic balance sheet repair, and enabled comprehensive banking sector restructuring and financial system cleanup, resulting in stronger, better-capitalized institutions and supporting economic recovery and debt resolution. They also provided time to strengthen macroeconomic and prudential frameworks.
- Overall, alongside sound macroeconomic and prudential policies, Iceland's 2008 capital controls were a decisive and largely successful crisis management tool—stabilizing the currency and financial system and enabling recovery. That being said, they were no silver bullet, and the country still went through costly and prolonged financial crises and a deep recession.

Ukraine

- Ukraine entered 2014 with deep macroeconomic imbalances, whereas political turmoil and the escalating conflict in the Donbas in 2014 caused severe capital and deposit flight. Large fiscal and external deficits, an overvalued exchange rate, and weak reserves were combined with a fragile banking system and poor governance. These vulnerabilities made the economy highly exposed to shocks. Driven by political and geopolitical events, the loss of confidence triggered capital and deposit flight. These pressures led to sharp depreciation of the hryvnia, fueling inflation and a rapid depletion of FX reserves and intensified financial instability. The banking sector faced acute liquidity shortages and widespread deposit withdrawals, culminating in numerous banks' bankruptcies. Overall, these developments resulted in a severe twin banking and currency crisis in 2014.
- As a policy response, starting in February 2014, Ukraine introduced extensive administrative FX controls—tightened progressively through 2014–15—to limit capital outflows, stabilize the exchange rate, preserve reserves, and maintain stability of the national financial system. The National Bank of Ukraine (NBU) enacted severe outflow CFMs and FX controls more broadly, restricting both current and capital account operations. These measures included restrictions on FX purchases and cross-border payments, limits on FX conversion and access to FX, mandatory surrender requirements, capital flow and investment restrictions, controls on timing of FX purchases and settlement of transactions, deposit and cash withdrawal restrictions, and ban on banks to buy FX into their own position. By restricting FX purchases, limiting withdrawals, and mandating the sale of export proceeds, the measures reduced immediate pressure on the hryvnia, curtailed capital outflows, and helped slow the depletion of reserves, thereby preventing a disorderly collapse of the FX market.
- The outflow CFMs and FX restrictions were introduced as part of a policy package supported by macroeconomic and banking policies. Ukraine deployed a comprehensive crisis-response package. In addition to FX controls, the authorities abandoned the de facto peg and moved to a flexible exchange rate (to absorb external shock, restore competitiveness, and reduce reserve losses); tightened monetary policy and strengthened liquidity management (to contain domestic demand and support external adjustment); implemented banking sector support and restructuring (to prevent systemic collapse and restore confidence); and advanced fiscal and structural reforms (to address underlying imbalances).

- Overall, the outflow CFMs introduced in Ukraine in 2014 were generally effective as a short-term crisis containment tool. Although FX controls were extensive and intrusive—covering both current and capital account transactions—they were effective in the short term in easing FX pressures. By compressing FX demand and speculative pressures and increasing FX supply through surrender requirements, they helped stabilize the FX market, curtailed capital outflows, and prevented disorderly depletion of reserves. However, they had to be complemented by macro adjustments and banking reforms to achieve stabilization.

Ukraine's experience shows that outflow CFMs can be a useful crisis management instrument, but their effectiveness ultimately hinges on credible macroeconomic adjustment, banking sector repair, and a clear path back to normal market functioning. The comparison of their use in the 2014–15 and 2008–09 crises is telling in that regard.

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